THE STRATFORD

CONTINUING CARE RESIDENCE AGREEMENT

(Sunrise 50%/Resident 50%)

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THE STRATFORD

CONTINUING CARE RESIDENCE AGREEMENT

This Continuing Care Residence Agreement (referred to as "Agreement") is made between Sunrise Stratford, LP (referred to as "Sunrise Stratford" or "The Stratford") and Sunrise Senior Living, LLC (referred to as "SSLLLC") on the one side, and _____ (referred to as "You" or "Resident") on the other side. (If more than one (1) person is signing this Agreement, these terms refer to each individually, and to both together. In addition, where appropriate, they refer to a person legally entitled to act on your behalf while you are alive and a person representing your estate (including any trust estate) after your death.) The purpose of this Agreement is to describe the services that are available at The Stratford and to set forth your own legal rights and obligations.

1. ORGANIZATION OF THE STRATFORD

1.1. Basic Structure

The Stratford is a retirement community located at 601 Laurel Avenue, San Mateo, California 94401 and is designed as a condominium project. **AS SUCH, THE RESIDENTS OWN CONDOMINIUMS (CONSISTING OF SEPARATE FEE OWNERSHIP INTERESTS IN INDIVIDUAL UNITS AND UNDIVIDED FEE OWNERSHIP INTERESTS IN THE COMMON AREAS) AND AN UNDIVIDED INTEREST IN CERTAIN PERSONAL PROPERTY LOCATED IN THE COMMON AREAS.** (For the sake of convenience, the term "condominium" in this Agreement will be deemed, when appropriate, to include not only your condominium interest in your unit and the common areas, but also your undivided interest in certain personal property in the common areas of The Stratford.) The Stratford is unlike a typical condominium

project, however, in several important respects. First, there are certain "service easements" in the common areas of The Stratford, giving the entity that owns such easements the exclusive right and obligation to use the common areas to operate a retirement community and to provide care and services to residents in connection with doing so. Second, The Stratford is licensed by the State of California as a "Residential Care Facility for the Elderly" and holds a Certificate of Authority from the State of California as a "Continuing Care Retirement Community." The licensing laws obligate the owner of the service easements and the operator of the facility to maintain the facility as a Residential Care Facility for the Elderly and a Continuing Care Retirement Community and to provide prescribed care and services to residents of The Stratford. **THEY ALSO MAKE THE RIGHTS OF THE OWNER OF THE SERVICE EASEMENTS AND OPERATOR OF THE FACILITY TO CONTROL THE PROPERTY AND MANAGE THE FACILITY SUPERIOR TO ANY SUCH RIGHTS THAT THE RESIDENTS OTHERWISE MIGHT HAVE AS HOMEOWNERS UNDER THE CONDOMINIUM LAWS. THIS INCLUDES THE RIGHT OF THE OWNER OF THE SERVICE EASEMENTS, THE OPERATOR OF THE FACILITY, AND STATE REGULATORY AGENCIES TO ENTER YOUR UNIT, AS SET FORTH IN SECTION 8.1.** These matters are set forth in more detail in two separate legal documents, the Restated Declaration of Covenants, Conditions and Restrictions Establishing a Plan of Condominium Ownership for The Stratford, San Mateo, California (the "Restated Declaration of Covenants, Conditions and Restrictions") and the Declaration Establishing Easements, Covenants and Restrictions Running with the Land (the "Easement Declaration").

1.2. <u>Sunrise Stratford, LP</u>

Sunrise Stratford is a Delaware limited partnership that owns the service easements at The Stratford. Under the Restated Declaration of Covenants, Conditions

and Restrictions and the Easement Declaration, Sunrise Stratford has the exclusive right and obligation to use the common areas to provide continuing care services to residents. In its capacity as owner, Sunrise Stratford is co-holder (through its general partner, Sunrise Stratford GP, LLC, together with Sunrise Senior Living Management, Inc., a Virginia corporation, which manages The Stratford) of a License issued by the California Department of Social Services to operate The Stratford as a Residential Care Facility for the Elderly. In addition, Sunrise Stratford is the holder, together with SSLLLC, of a Certificate of Authority issued by the California Department of Social Services to enter into continuing care contracts at The Stratford. Sunrise Stratford will be signing this Agreement in its capacity as owner of the easement and as co-holder of the License and Certificate of Authority.

1.3. <u>Sunrise Senior Living, LLC</u>

SSLLLC is a Virginia corporation that is the co-holder of a Certificate of Authority issued by the California Department of Social Services to enter into continuing care contracts at The Stratford. As such, SSLLLC is a co-obligor under this Agreement and a signatory to it. However, SSLLLC has no specific functions under this Agreement and will exercise rights and perform duties under it only in the event of a failure to do so by Sunrise Stratford.

1.4. <u>The Stratford of San Mateo Homeowners' Association</u>

As a homeowner in a condominium development, you will receive membership in The Stratford of San Mateo Homeowners' Association (the "Homeowners' Association"). The Homeowners' Association has certain defined and limited responsibilities within The Stratford, which are set forth in detail in the Restated Declaration of Covenants, Conditions and Restrictions. Unlike most condominium homeowners' associations, the Homeowners' Association does not operate or manage

The Stratford, which is the sole responsibility of Sunrise Stratford as licensee. The Homeowners' Association does act as a "Residents' Council" under California continuing care law, with the rights set forth in the Residents' Manual. **EXCEPT FOR THE DEFINED AND LIMITED POWERS SET FORTH IN THE RESTATED DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS, THE HOMEOWNERS' ASSOCIATION ACTS IN AN ADVISORY CAPACITY, WITHOUT ANY RIGHT TO MANAGE OR DICTATE POLICY (INCLUDING ESTABLISHING BUDGETING AND STAFFING GUIDELINES) AT THE STRATFORD.**

1.5. Agreements

This Agreement and its Appendices (including the Residents' Manual), along with certain other legal documents, define your legal status at The Stratford. The other documents are as follows: your Residential Purchase Agreement and the accompanying Continuing Care Addendum; the Restated Declaration of Covenants, Conditions and Restrictions; and the Easement Declaration. The Restated Declaration of Covenants, Conditions and Restrictions and the Easement Declaration will be provided to you when you sign this Agreement. All of the legal documents together constitute the continuing care contract and are incorporated by reference in this Continuing Care Residence Agreement. This Agreement will continue in force unless and until it is terminated under Section 7.

2. GENERAL SERVICES

2.1. Services Included in Monthly Fee

Sunrise Stratford will make the general services set forth in Appendix A available to you under your Monthly Fee.

2.2. Services Not Included in Monthly Fee

You will have to pay separately for any general services not set forth in Appendix A. These include the optional services set forth in Appendix B at the current prices listed.

2.3. Change in Scope of Services

Sunrise Stratford will endeavor to be responsive to the needs and desires of residents concerning the scope of services provided at The Stratford, including determining which services should be paid for as part of the Monthly Fee and which services should be paid for separately. Accordingly, Sunrise Stratford may make changes in the scope of services available to you at The Stratford or in the scope of services included in the Monthly Fee upon thirty (30) days' advance written notice to you. Sunrise Stratford will make any such changes in a manner consistent with its obligations as a Residential Care Facility for the Elderly and a Continuing Care Retirement Community, and will include any appropriate adjustments in the Monthly Fee.

3. HEALTH CARE

3.1. Health Care Services

3.1.1. Oversight and Other Assistance

Sunrise Stratford will provide the following general health services to you under the Monthly Fee:

3.1.1.1. **Monitoring of Health Status**. Sunrise Stratford will monitor your health status on a regular basis to help you to respond to your changing health needs and to determine when intervention is appropriate. This will include periodic assessments of your functional capabilities, physical status, mental condition, and social factors. The Stratford will make the assessment tool that it uses available to you upon request. The Stratford will

update your assessment annually, or as necessary to reflect a significant change in your condition, or to keep the assessment accurate. You will be expected to cooperate by making yourself available and by providing accurate information to allow Sunrise Stratford to fulfill its obligations to you.

3.1.1.2. **On-Site Emergency Medical Response**. All direct care staff at The Stratford will receive training in maintaining building and fire safety and in responding to medical emergencies. Sunrise Stratford will have at least one (1) staff member with appropriate training in first aid and CPR (cardiopulmonary resuscitation) on-site at all times to respond to such emergencies. In the event of a medical emergency, staff will contact "911" emergency services as appropriate. Sunrise Stratford also will attempt to contact your designated contact person.

3.1.1.3. **Wellness Program**. Sunrise Stratford operates a "wellness" program at The Stratford that provides information and assistance to residents about maintaining their health. A swimming pool, exercise facility, secure walking path, and spa are available for your use, if your physician permits such activities and you are able to participate without endangering your health and safety or the health and safety of the staff and other residents.

3.1.1.4. **Health Benefits Administration**. If you are unable to administer your health insurance benefits, Sunrise Stratford will assist you with this process, including providing administrative assistance to you for the purposes of obtaining or maintaining health insurance coverage required by The Stratford and of receiving whatever benefits are due. In addition, Sunrise

Stratford will assist you with the completion and filing of necessary forms if you are unable to perform these tasks yourself.

3.1.2. Health Professionals and Facilities

Sunrise Stratford will assist you, as needed, in arranging for services from the health professionals and facilities set forth below. Unless specifically stated to the contrary, you will be responsible for the cost of such services.

3.1.2.1. **Physician Care**. You will be free to visit a local physician of your choice subject to any limitations in Medicare, any Medicare HMO in which you are enrolled, or any other plan by which you are covered. If you require a physician in any specialty, your primary care physician or the Medical Director will assist you in finding an appropriate practitioner. Sunrise Stratford will not be responsible for the cost of care or related services provided to you by any physician.

3.1.2.2. **Medical Director**. A licensed physician will serve as Medical Director of The Stratford. The Medical Director will be available at The Stratford to oversee the health services program and to assist Sunrise Stratford and your physician in determining the level of care or treatment that you require to meet your health care needs. If your own physician is unavailable, the Medical Director or a designee will arrange to provide you with medical care. The Medical Director or his or her designee may bill you for such direct medical services in the customary manner at his or her discretion.

3.1.2.3. **Home Health Care**. Sunrise Stratford wants you to live independently in your residence for as long as it determines in its own sole judgment that you are capable of doing so in a safe and proper manner.

Accordingly, it will arrange or assist in arranging for home health care services in your residence, if these services are prescribed by your physician, are consistent with California laws pertaining to residential care facilities for the elderly, and can be provided safely, efficiently, and properly in this setting. In the event that it believes in its sole judgment that you are not capable of living in your unit without such services, Sunrise Stratford may require you to receive such services as a condition to remaining in your unit. The Director of Health Services will assist with arrangements if you or your primary care physician are unable to make these arrangements. Sunrise Stratford will not be responsible for the cost of home health care services. Any provider of home health services must meet the standards of Sunrise Stratford, and shall be subject to its initial and continuing approval. In accordance with the requirements of its licensure, Sunrise Stratford shall have the right and responsibility to oversee, monitor, supervise, and manage all such home health services. If you choose not to obtain outside home health services in your unit, you may be required to transfer to a more appropriate level of care and supervision, either inside or outside The Stratford.

3.1.2.4. **Skilled Nursing Facility**. Sunrise Stratford will arrange for the provision of basic services to you, as needed, at an outside licensed skilled nursing facility approved by it. Sunrise Stratford will monitor your care while at the outside skilled nursing facility, and will coordinate your return to The Stratford with the facility, your physician, and you, if your return is permitted and feasible. Payment for basic services at the outside skilled nursing facility will be as follows: Some skilled nursing facility care is covered by Medicare, by Medicare HMOs, by Medigap insurance, or by other long-

term care insurance. Sunrise Stratford covers basic services at a skilled nursing facility only if they are not covered by the Medicare program, a resident's Medicare HMO, a resident's Medigap insurance, or other long-term care insurance, provided that you are a participant in The Stratford's long term care program (the "Long Term Care Program") and you obtain care at a skilled nursing facility approved by Sunrise Stratford. If you are a participant in the Long Term Care Program, Sunrise Stratford will be responsible for the costs of such skilled nursing services up to a maximum amount equal to the average daily rate for basic services in a semi-private room in a licensed skilled nursing facility. Sunrise Stratford will calculate the average daily rate on an annual basis after a poll of five (5) licensed skilled nursing facilities approved by it. You will be responsible for the costs of care above the average daily rate. If you receive care at a skilled nursing facility inside California that is not approved by Sunrise Stratford, you will be responsible for all of its charges. If you receive care at a skilled nursing facility in another state, Sunrise Stratford will pay the established average daily rate or the cost of your care, whichever is lower.

3.1.2.5. **Hospital**. Sunrise Stratford will assist with arrangements for your care, as needed, at a licensed, accredited acute care hospital if you or your physician are unable to make these arrangements. Sunrise Stratford will monitor your care while at the hospital, and will coordinate your return to The Stratford with the hospital, your physician, and you, if your return is permitted and feasible. Sunrise Stratford will not be responsible for the cost of any care at a hospital.

3.1.3. Assisted Living Care

3.1.3.1. **Provision of Assisted Living Care**. In the event that it determines that you require them, Sunrise Stratford will assist you in obtaining access to assisted living services, including personal assistance with such daily activities as bathing, dressing, grooming, toileting, feeding, therapeutic ambulation, storing and taking medications. As explained below, you may receive such services in your residential unit, The Laurel Wing, or an outside assisted living facility. Sunrise Stratford, in consultation with you, your legal representative (if any), your family, and your physician, will determine whether such services are appropriate, the extent of any services to be provided, and the proper setting. This obligation will extend only to assisted living services, and will not include assistance with the instrumental activities of daily living, including special assistance with housework, meals, laundry, the taking of medication, money management, transportation, correspondence, telephoning, and related tasks.

3.1.3.2. **Residential Unit**. Sunrise Stratford may provide assisted living services to you in your residential unit, if it determines that that setting is appropriate and if you are able to pay for them. You will be required to pay separately for any services received in your residential unit that constitute optional services under Appendix B or that exceed the standard services provided in the Laurel Wing. Alternatively or in addition, you may receive services in your residential unit at your own expense from an outside provider of your choice. Any outside provider that you use must meet the standards of Sunrise Stratford, and shall be subject to its initial and continuing approval. In accordance with the requirements of its licensure, Sunrise

Stratford shall have the right and responsibility to oversee, monitor, supervise, and manage all such outside providers.

3.1.3.3. **The Laurel Wing**. Sunrise Stratford will provide assisted living services to you in its assisted living facility in The Laurel Wing at The Stratford, if space is available and it determines that that setting is appropriate. Your Monthly Fee will cover the standard services provided in The Laurel Wing using normal staffing ratios. In the event that you require additional services that can be provided in The Laurel Wing, you may receive such services from Sunrise Stratford or an outside provider of your choice. In either case, you will be required to pay the charges for such additional services in addition to your Monthly Fee. Any outside provider that you use must meet the standards of Sunrise Stratford, and shall be subject to its initial and continuing approval. In accordance with the requirements of its licensure, Sunrise Stratford shall have the right and responsibility to oversee, monitor, supervise, and manage all such outside providers.

3.1.3.4. **Outside Assisted Living Facility**. Sunrise Stratford will arrange for the provision of basic assisted living services for you at an outside licensed assisted living facility approved by it if space is not available in The Laurel Wing or if it finds, in its sole discretion, that you meet the conditions for a transfer in Section 6.1 or 6.2. Sunrise Stratford will monitor your care while at the outside assisted living facility, and will coordinate your return to The Stratford with the facility, your physician, and you, if your return is permitted and feasible. Sunrise Stratford covers basic services at an outside assisted living facility only if they are not covered by a governmental or private payor program, provided that you are a participant in the Long Term Care Program

and you obtain care at an assisted living facility approved by Sunrise Stratford. If you are a participant in the Long Term Care Program, Sunrise Stratford will be responsible for the costs of such care up to a maximum amount equal to the average daily rate for basic services in a semi-private room in a standard licensed assisted living facility (i.e., one that is not dedicated to residents with special needs, such as those with dementia). Sunrise Stratford will calculate the average daily rate on an annual basis after a poll of five (5) licensed assisted living facilities approved by it. You will be responsible for the costs of care above the average daily rate. If you receive care at an assisted living facility in California that is not approved by Sunrise Stratford, you will be responsible for all of the charges. If you receive care at an assisted living facility in another state, Sunrise Stratford will pay the established average daily rate or the cost of your care, whichever is lower.

3.2. Financial Coverage for Health Services

3.2.1. Medicare

You will be required to enroll, at your own expense, in Medicare or, if you choose it as an alternative to Medicare, a Medicare HMO. In addition, you will be required to enroll in a private Medicare supplemental insurance plan (a “Medigap” plan) that covers certain services and expenses not covered by Medicare or Medicare HMOs and that is acceptable to Sunrise Stratford in its sole discretion. Medicare, Medicare HMOs, and Medigap plans cover certain health services. However, they do not cover all health services. You should review your benefits summary for each program to determine their exact scope of coverage. In addition, you may wish to maintain any private long-term care insurance that you currently have in place, and to give careful

consideration to any changes that you make in it. You should consult with your own personal advisors concerning this question.

3.2.2. Monthly Fee

Your Monthly Fee will cover the services described in Section 3.1.1 dealing with monitoring, wellness, and health benefits administration, and the services described in Section 3.1.2 dealing with assistance in obtaining access to outside services. It also will cover certain defined skilled nursing and assisted living services, as set forth in Sections 3.1.2.4 and 3.1.3.4 above, if you are a participant in The Stratford's Long Term Care Program. To receive coverage in the Long Term Care Program, you must meet eligibility requirements and be formally approved by Sunrise Stratford as a participant. If you meet eligibility requirements, you must participate in the Long Term Care Program, even if you already are covered by another long-term care insurance policy. If you have another long term care insurance policy, that policy will provide primary coverage for all services under it, and the Long Term Care Program will provide secondary coverage.

3.2.3. Your Financial Responsibility

Sunrise Stratford will be financially responsible for health and related services provided to you only as expressly set forth in this Section III. You will be personally financially responsible for all other such services.

3.3. Cooperation in Obtaining Payment

You agree to cooperate with Sunrise Stratford to secure payment to any provider, including Sunrise Stratford, of all amounts due for health care services rendered to you. Failure to cooperate shall constitute grounds for termination of this Agreement by Sunrise Stratford under Section 7.3.

3.4. Health Coverage Adjustments

Future changes in the Medicare program, Medicare HMO coverage, Medigap insurance plans, or in the cost of health care (including skilled nursing) or assisted living may necessitate adjustments to the health care coverage provided at The Stratford. Increases in the costs of administering the health care program or in providing benefits under it will be passed on to you in the form of increased Monthly Fees or special fees. Sunrise Stratford will endeavor to maintain the level of coverage presently provided, to the extent that this is consistent with reasonable Monthly Fees. However, coverage may change, including coverage provided by the Long Term Care Program. You will be provided with at least thirty (30) days advance written notice of any reduction in your coverage or of any changes in your Monthly Fees to account for health care coverage.

4. FEES

4.1. Total Initial Payment

You are making a total initial payment of _____ dollars ($_____) to enter The Stratford (the "Total Initial Payment"). This payment consists of two (2) separate components: (1) the Condominium Purchase Price, and (2) a payment to The Laurel Avenue Trust.

4.1.1. Condominium Purchase Price

You are purchasing a fee simple interest in condominium unit _____ at The Stratford from either Sunrise Stratford or a prior resident for the sum of _____ dollars ($_____) (the "Condominium Purchase Price"). You are making the purchase in accordance with a Residential Purchase Agreement and the accompanying Continuing Care Addendum, which you are signing at the time

that you sign this Agreement. You are paying the Condominium Purchase Price directly to Sunrise Stratford or the prior resident.

4.1.2. Payment to The Laurel Avenue Trust

You are paying the further sum of _____ dollars ($_____), which equals eight percent (8%) of the Condominium Purchase Price, to The Laurel Avenue Trust. This payment is in addition to the Condominium Purchase Price. The Laurel Avenue Trust is administered in accordance with The Laurel Avenue Trust Agreement, which requires that the principal and income be used for the benefit of the residents of The Stratford, including (but not limited to) payment for medical and health-related costs, the replacement of fixtures and equipment, structural upgrades, other capital improvements, and interest-bearing loans to residents who become unable to pay their Monthly Fees or other fees at The Stratford. The Laurel Avenue Trust Agreement is available to you if you wish to review it.

4.2. Homeowners' Association Dues

You will be obligated under the Restated Declaration of Covenants, Conditions and Restrictions (see Section 1.1 above) to pay assessments to the Homeowners' Association on a monthly basis, to cover the cost of property insurance for The Stratford and certain other items that are the responsibility of the Homeowners' Association. The Homeowners' Association may delegate such responsibility to Sunrise Stratford, which then will bill and collect the assessment as part of the Monthly Fee set forth in Section 4.3 below.

4.3. Monthly Fee

4.3.1. Obligation

You will be obligated to pay a Monthly Fee to Sunrise Stratford from the time that your unit is purchased until the time this Continuing Care Residence

Agreement terminates. If either event occurs mid-month, the Monthly Fee will be prorated accordingly. The Monthly Fee will cover those non-health services in Section 2.1 above and those health services set forth in Section 3 above that are specifically identified as being covered by it. In addition, it will include a component representing Homeowners' Association assessment under Section 4.2 above and a contribution to The Laurel Avenue Trust. Your occupancy of your unit and use of accommodations at The Stratford are contingent on regular payment of your Monthly Fee.

4.3.2. <u>Amount</u>

If there is one (1) resident in a unit, the Monthly Fee will consist of a Primary Resident Monthly Fee, equal to _____ dollars ($_____) at the commencement of this Agreement. If there are two (2) residents, the Monthly Fee at the commencement of this Agreement will consist of a Primary Resident Monthly Fee equal to _____ dollars ($_____) and any Additional Resident Monthly Fee equal to _____ dollars ($_____). In addition to the Primary Resident Monthly Fee and any Additional Resident Monthly Fee, there will be monthly charges equal at the commencement of this Agreement to hundred and ten dollars ($110) representing the monthly Homeowners' Association dues and three hundred dollars ($300) representing a monthly assessment for The Laurel Avenue Trust. Sunrise Stratford may increase or decrease your Monthly Fee and The Laurel Avenue Trust contribution upon thirty (30) days' advance written notice. Such adjustments shall be based upon Sunrise Stratford's projected costs, prior year per capita costs, and economic indicators, as determined by Sunrise Stratford. The Homeowners' Association may increase or decrease its dues upon forty-five (45) days' advance written notice.

4.3.3. Vacancy of Unit

In the event that you vacate your unit (whether temporarily or permanently), you will be obligated to continue to pay your Monthly Fee until this Agreement terminates, which usually will be when your condominium is sold. However, your Monthly Fee may be altered in the circumstances set forth in Section 5.2, Section 6.1, and Section 6.2.

4.3.4. Payment Procedures

You will receive an invoice each month, containing the Monthly Fee due for the following period and the charges for optional services received during the preceding period and including a due date for payment. You will be required to make payment within fourteen (14) calendar days after the date on which the invoice was mailed to you or placed in your mail box at The Stratford, in order to avoid a late payment charge. In addition, all late Monthly Fee accounts shall bear interest at the legal rate (calculated at two percent (2%) above the current prime rate offered by the Bank of America, or, if this is not available, by comparable financial institutions) compounded monthly. Any Monthly Fee, late charges, or interest that remains unpaid at the time that your unit is sold shall be paid to Sunrise Stratford at the time that the Transfer Fee is paid under Section 5.4.

4.4. Fees for Optional Services

You will be billed separately for all optional services not covered by the Monthly Fee (including those set forth in Section 2.2) by the vendor or by Sunrise Stratford, as appropriate. A list of current charges for these services is included in Appendix B to this Agreement. Sunrise Stratford will give you thirty (30) days' advance written notice of any changes in its charges for optional services. Sunrise Stratford will bill for optional services provided by it either at the time that they are rendered or at the

time that it bills for the Monthly Fee. Payment procedures shall be the same as for the Monthly Fee, including the late payment charge and interest when payment is not received by the date due.

5. SALE OF CONDOMINIUM UNIT

5.1. Sale to Qualified Buyer

You may sell your condominium unit to a qualified buyer (a "Qualified Buyer") at any time, provided that all other requirements in this Agreement are met. A Qualified Buyer is a person (or persons) who is prepared to purchase your condominium at the agreed upon price and to enter into a Continuing Care Residence Agreement (as it then exists) with Sunrise Stratford, who meets the standards for residence at The Stratford in effect at that time (including any relating to age, financial, and health requirements), and who is accepted by Sunrise Stratford for residence at The Stratford. The sale must be effected by means of the Residential Purchase Agreement and the accompanying Continuing Care Addendum, attached to this Agreement as Appendix C. (Sunrise Stratford reserves the right to change the terms of the Residential Purchase Agreement and the accompanying Continuing Care Addendum to comply with changes in the law and to fulfill other purposes.) The price may be whatever you agree with the Qualified Buyer, subject to the rules in Section 5.7 below.

5.2. Continuation of Monthly Fee

You will be obligated to pay your Monthly Fee until the sale is made, even if you are not occupying your unit. However, if you are not occupying your unit, Sunrise Stratford may make a minor adjustment, in its sole discretion, in the Monthly Fee to account for the costs (such as raw food costs) that it is not incurring as a result of your absence.

5.3. Retention of Proceeds

Upon sale of your condominium, you will be entitled to retain the proceeds of the sale, subject to the provisions of Sections 6.4.4 and 6.5.3 below, less the Transfer Fee as set forth in Section 5.4 below, less any other sums owed to Sunrise Stratford under Section 4 or any other provision of this Agreement.

5.4. Transfer Fee

When you sell your condominium, the purchase price paid by a Qualified Buyer will be determined by the marketplace. Sunrise Stratford will provide assistance to you under Section 5.5 below in the marketing and sale of your condominium. Upon sale of your condominium, Sunrise Stratford shall be entitled to receive a Transfer Fee from the sale proceeds, calculated according to the formula set forth in Appendix D, as limited by Section 7.1 below (the "Transfer Fee").

5.5. Sale Assistance from Sunrise Stratford

Sunrise Stratford will maintain an ongoing marketing program to assist you in finding a Qualified Buyer for your condominium. When you decide to sell your condominium, you will be required to give Sunrise Stratford three (3) months in which to find a Qualified Buyer. If Sunrise Stratford has not found a Qualified Buyer within that time, you may seek to locate a Qualified Buyer on your own. You must abide by Sunrise Stratford's policies for displaying units and attracting Qualified Buyers, and by any other similar policies governing the marketing and sale of units by residents. You may choose to retain a licensed real estate broker to assist you, at your own expense. However, you will still be required to pay the Transfer Fee to Sunrise Stratford. Sunrise Stratford cannot guarantee that your condominium will be sold for a price equal to the purchase price that you paid. The price that you receive for your condominium will be determined by its current market value.

5.6. Sale to Sunrise Stratford

If Sunrise Stratford is unable to find a Qualified Buyer for your condominium under Section 5.5 above, Sunrise Stratford may choose to repurchase your condominium at its current market value, as defined in Section 5.8 below. Any such decision shall be entirely at the option of Sunrise Stratford, which shall not be required to make any repurchase. Therefore, you ultimately will bear the risk of not being able to resell your condominium. In the event that Sunrise Stratford does repurchase your condominium, you will be obligated to pay Sunrise Stratford the Transfer Fee as set forth in Section 5.4 above.

5.7. Requirements for Sale

A sale of your condominium shall occur only when all of the following events have taken place:

- Your condominium grant deed has been properly endorsed by Sunrise Stratford and by you for sale to a Qualified Buyer, and is free of all liens or other encumbrances;
- The Qualified Buyer has entered into a Continuing Care Residence Agreement with Sunrise Stratford and SSLLLC;
- You have signed a Residential Purchase Agreement and the accompanying Continuing Care Addendum (see Appendix C) with the Qualified Buyer;
- The Qualified Buyer has paid the purchase price for your condominium;
- The purchase price has been released from escrow under the Residential Purchase Agreement and the accompanying Continuing Care Addendum;

- The Qualified Buyer has made the requisite payments to The Laurel Avenue Trust;
- Sunrise Stratford has received all amounts due to it under this Agreement;
- The Qualified Buyer has paid the first Monthly Fee due under the Continuing Care Residence Agreement; and
- Your unit has been released to Sunrise Stratford in a clean and market-ready condition. Sunrise Stratford reserves the right to determine if your unit (including painting, wall paper, carpeting or other floor covering, or window treatments) or its appliances or fixtures (including plumbing, heating, air conditioning, electrical, or other apparatus) requires repair, refurbishing, or replacement prior to marketing and sale. You will be responsible for the costs of any such repairs, replacements, or restoration to your unit or its appliances or fixtures, including costs for repairs, replacement, or restoration due to normal wear and tear.

5.8. <u>Sales for Less Than Market Value</u>

If your condominium is sold or transferred for less than its current market value (for example, through a gift or bequest), the transaction will be treated as if you have received the current market value. The transferee will be required to make payment to The Laurel Avenue Trust and you will be required to pay a Transfer Fee. The “current market value” of a condominium for purposes of this Agreement shall be based upon recent arm’s length, bona fide sales of comparable condominiums for comparable units at The Stratford, and shall be determined by Sunrise Stratford in the reasonable exercise of its discretion.

5.9. Disposition of Jointly Owned Condominium Interests

In the event that title to your condominium is held in co-ownership, you will be subject to the special rules concerning transfers set forth in Appendix E ("Disposition of Jointly Owned Condominium Interests"). The consequences of disposing of condominium interests held in joint ownership will vary depending on whether your condominium is held as community property, in joint tenancy, or in tenancy in common. Your grant deed sets forth the manner in which you hold title to your condominium. The portion of Appendix E that explains how the laws of joint ownership affect such transfers is for informational purposes only. You should consult with your attorney or financial advisor concerning the manner of holding title and the laws regarding the disposition of jointly owned interests.

6. TRANSFERS FROM UNIT

6.1. Statutory Grounds for Transfer

Under the law, Sunrise Stratford may transfer you to the Laurel Wing or to an outside facility if any of the following grounds exists:

6.1.1. Nonambulatory Status

You become nonambulatory as this term is defined in Section 13131 of the California Health and Safety Code. A copy of Section 13131 of the California Health and Safety Code is available to you upon request.

6.1.2. Physical or Mental Condition

You develop a physical or mental condition that is detrimental to or endangers your health, safety, or well-being or that of another person.

6.1.3. Appropriate Level of Care

Your condition or needs require that you be transferred to an assisted living care unit or skilled nursing facility, because the level of care required by you exceeds that which may be appropriately provided in your residence.

6.1.4. No Available Facilities

Your condition or needs require that you be transferred to a nursing facility, hospital, or other facility, and Sunrise Stratford has no facilities available to provide that level of care at The Stratford.

6.2. Considerations in Making Transfer Decision

In making this decision, Sunrise Stratford will take into consideration the appropriateness and necessity of the transfer, and the goal of promoting resident independence. Resident retention limitations set by the state or by Sunrise Stratford are set forth in Appendix F.

6.3. Transfer and Review Procedure

If you require transfer under one of the grounds set forth above in this Section 6, Sunrise Stratford will follow the transfer and review procedure described in Appendix G. If you request review of Sunrise Stratford's transfer decision, you agree to pay for any extra care that Sunrise Stratford determines in writing to be necessary to allow you to remain in your residence during the review process.

6.4. Statement of Residents' Rights

Whenever it is proposed that you be moved to a different level of care, you will receive a copy of the Statement of Residents' Rights (see Appendix H).

6.5. Transfers for Single Occupancy Residents

6.5.1. Monthly Fee

If you occupy your residential unit by yourself and you are transferred to an assisted living unit in The Laurel Wing of The Stratford or to an assisted living facility, skilled nursing facility, hospital, or other licensed facility outside The Stratford, you will continue to pay your regular Primary Resident Monthly Fee up to a maximum of one hundred and twenty (120) days for all transfers during your lifetime or of sixty (60) days for all transfers during any calendar year, whichever is less. After

that, you will be required to pay two (2) Primary Resident Monthly Fees. The two (2) Primary Resident Monthly Fees reflect the added expense to Sunrise Stratford of maintaining your residential unit without an occupant and managing your care away from your residential unit.

6.5.2. Sale of Condominium

In the event you are permanently transferred outside your residential unit, whether to an assisted living unit at The Stratford or to an off-site location, Sunrise Stratford may require you to sell your condominium. In that case, you will continue to receive services under this Continuing Care Residence Agreement as long as you wish, provided that you continue to comply with its terms. The Medical Committee of The Stratford will determine, in consultation with you, your legal representative (if any), your family, and your physician, whether your transfer is permanent.

6.5.3. Monthly Fee Adjustment Following Condominium Sale

If you choose to continue to receive services under this Agreement following the sale of your condominium upon permanent transfer, you will be responsible for paying one (1) Primary Resident Monthly Fee.

6.5.4. Trust Account

If you choose to continue to receive services under this Agreement following the sale of your condominium upon permanent transfer, you will be required to place into a trust account the sale price of your condominium less the Transfer Fee, and any closing costs. The trust account will be administered by Sunrise Stratford or a trustee obtained by Sunrise Stratford, and all net earnings from the monies you deposit in the trust account, less any trust administration fee, will be paid to you when received, except that Sunrise Stratford and independent vendors at The Stratford first shall be

paid from interest and principal the amount of any financial obligation which you are unable to pay to them under this Agreement. In the event of your death or termination by you or Sunrise Stratford of this Continuing Care Residence Agreement, all monies held for you in the trust account will be paid to your estate or you within thirty (30) days, less any unpaid or deferred charges owed by you to Sunrise Stratford or to independent vendors at The Stratford.

6.6. Transfers for Double Occupancy Residents

6.6.1. Monthly Fee Following First Resident Transfer

If there are two (2) of you and one (1) is temporarily transferred to an assisted living unit in The Laurel Wing of The Stratford or to an assisted living facility, skilled nursing facility, hospital, or other licensed facility outside The Stratford, you will continue to be responsible for your regular Primary Resident and Additional Resident Monthly Fees for the first sixty (60) days of each absence. If there are multiple transfers, you will continue to pay your regular Primary Resident and Additional Resident Monthly Fees as long as the total absences of both residents do not exceed sixty (60) days during the preceding one (1) year period. Once the applicable period has passed, you will be required to pay a Primary Resident Monthly Fee for the resident remaining in your residential unit and a Primary Resident Monthly Fee for the transferred resident (to cover the cost of care away from the residential unit).

6.6.2. Monthly Fee Following Second Resident Transfer

If the second resident is subsequently transferred to an assisted living unit in The Laurel Wing of The Stratford or to an assisted living facility, skilled nursing facility, hospital, or other licensed facility outside The Stratford, the second resident will be treated according to the provisions of Section 6.5.1 above.

6.6.3. Sale of Condominium

In the event that both of you are permanently transferred outside your residential unit, whether to an assisted living unit in the Laurel Wing at The Stratford or to an off-site location, you may be required to sell your condominium. In that case, you both will be subject to the requirements of Section 6.5.2 above, regarding continuation of services under this Agreement, Monthly Fee adjustments, and placement of the condominium sale price in a trust account. As regards the Monthly Fee adjustment, you will be required to pay two (2) Primary Resident Monthly Fees.

6.7. Return to Residence after Permanent Transfer

If you have sold your condominium following what was expected to be a permanent transfer and if it is determined by Sunrise Stratford, in consultation with its Medical Committee, that you are capable of returning to a residential unit at The Stratford, you may purchase another condominium at The Stratford, subject to applicable terms and conditions of initial purchase. In that case, you will be expected to enter into a Continuing Care Residence Agreement in the form then in effect at The Stratford.

6.8. Temporary Relocation Due to Renovation

Sunrise Stratford will follow the procedures outlined in Appendix N in the event that The Stratford undergoes a change of use, major repair, or renovation in the common areas that requires Sunrise Stratford to relocate you from your residence for a period of nine (9) to eighteen (18) months. If the residential temporary relocation exceeds eighteen (18) months, you will have the option to terminate this Agreement. In that case, you will have the same rights as you would have if you relocated permanently as a result of The Stratford's ceasing to operate as a continuing care retirement community, as set forth in Section 12.2 and Appendix M. This provision shall not apply

in the event of a temporary relocation due to a natural disaster that is out of Sunrise Stratford's control.

7. TERMINATION OF AGREEMENT

7.1. Cancellation Period

7.1.1. Purchase from Sunrise Stratford

If you are purchasing your condominium from Sunrise Stratford, California continuing care laws provide for a cancellation period of ninety (90) days from the date that you occupy your unit, during which either Sunrise Stratford or you may cancel this Agreement with or without cause. For purposes of this Section 7.1.1, you will be deemed to have occupied your unit sixty (60) days after the date of purchase, unless you move in sooner. If Sunrise Stratford cancels this Agreement under this Section 7.1.1, it will give you at least thirty (30) days' advance written notice. If this Agreement is cancelled under this Section 7.1,1, your Residential Purchase Agreement and Continuing Care Addendum with Sunrise Stratford will automatically be cancelled as well. You then will be required to convey your condominium back to Sunrise Stratford, assuming all the costs of conveyance yourself. Sunrise Stratford will be required to refund all amounts paid by you, except the portion of the Monthly Fee already paid by you (prorated under Section 4.3.1), representing the reasonable value of services provided by Sunrise Stratford to you during your residence. In addition, Sunrise Stratford may charge you the cost of returning your unit to substantially the same condition in which you originally received it, including cleaning your unit and removing any alterations. You will be responsible for these costs from the time that you sign this Agreement until the time that you cancel it or make the unit available to Sunrise Stratford, whichever is later. A Notice of Cancellation form is attached as Appendix I to this Agreement. Your death during the cancellation period shall not be deemed a

cancellation. In such event, you are subject to the provisions of Section 7.2. However, your default during the cancellation period under Section 7.3 below shall give Sunrise Stratford the right to treat such default as your cancellation under this provision.

7.1.2. <u>Purchase from Previous Resident</u>

If you are purchasing your condominium from a previous resident, you may cancel this Agreement within ninety (90) days from the date that you occupy your unit, by giving written notice to Sunrise Stratford and by selling your condominium to a Qualified Buyer. Your death during such period also shall constitute such cancellation. In either event, the Transfer Fee due to Sunrise Stratford under Section 5.4 shall not exceed the difference between the gross sales price that you receive for the unit and the price that you paid for it, set forth in Section 4.1 above. In addition, you will be entitled to a full refund of the payment that you made to The Laurel Avenue Trust under Section 4.1.2 above. Sunrise Stratford and SSLLLC will not have any similar cancellation rights during this period.

7.2. <u>Your Termination Rights</u>

In addition to your right to cancel within the first ninety (90) days under Section 7.1 above, you may terminate this Agreement at any time for any reason by giving Sunrise Stratford at least thirty (30) days' prior written notice of your intention and by selling your condominium to a Qualified Buyer. Your death at any time during the term of this Agreement shall be considered to be a termination under this Section 7.2, with the notification period waived. Upon your death, your obligations under this Agreement remain in effect until your condominium is sold to a Qualified Buyer. You or your legal representative must comply with all requirements for sale of your condominium as set forth in this Agreement, including payment of Transfer Fees. You will not be entitled to any refund of the payment that you made to The Laurel Avenue

Trust Fund under Section 4.1.2 above, if the termination occurs after the first ninety (90) days of this Agreement.

7.3. Termination Rights of Sunrise Stratford

7.3.1. Termination for Just Cause

Sunrise Stratford will not terminate this Agreement except for just cause. Just cause includes, but is not limited to, the following:

7.3.1.1. **Failure to Pay Monthly Fee**. Except as set forth in Section 7.3.2 below, you fail to pay your Monthly Fee or any other charges that are due, after you have received written notice from Sunrise Stratford of the possibility of termination and have failed to make payment in response to such notice within thirty (30) days of receipt.

7.3.1.2. **Failure to Comply with Policies, Rules, and Regulations**. You fail to comply with The Stratford's policies, rules, and regulations, as set forth in the Residents' Manual described in Section 10.4.

7.3.1.3. **Refusal of Care or Transfer**. You refuse treatment or care or you refuse to be transferred to an appropriate facility (including The Laurel Wing) to receive treatment or care which, in the opinion of Sunrise Stratford (after consultation with you, your legal representative (if any), and your family), is medically or otherwise required for your physical or mental health or for your safety, or for the health, safety, or wellbeing of other residents or staff.

7.3.1.4. **Material Breach or Misrepresentation**. You materially breach this Agreement or are determined by Sunrise Stratford to have made a material misrepresentation in the documentation submitted at the time of your application to The Stratford. Your filing or lodging of a formal or informal

complaint with the Department of Social Services or other appropriate authority, or your participation in an organization or affiliation of residents, or any similar lawful activity shall not constitute good cause for termination.

7.3.2. Financial Difficulty

If you encounter financial difficulty, making it impossible for you to pay your Monthly Fee and if you have not impaired your ability to meet your financial obligation by making gifts or other transfers, you may qualify for assistance from The Laurel Avenue Trust. The Laurel Avenue Trust may provide assistance in the sole discretion of its trustees, who will determine if all other assets have been used. Any such assistance shall consist of paying all or a portion of your Monthly Fee, charges for your care and/or supervision, or other charges to Sunrise Stratford. Such payments shall constitute a loan from The Laurel Avenue Trust to you, and shall bear variable interest at the prime rate charged by the Bank of America, or, if this is not available, by a comparable financial institution, plus two (2) percentage points. Interest shall be compounded on a monthly basis. The loan also shall be secured by a deed of trust against your condominium in favor of The Laurel Avenue Trust. The entire loan, including both principal and interest, shall be an additional charge, in excess of the Transfer Fee, against the proceeds of any sale of your condominium, shall be a first lien against your estate, and shall be deducted from any trust account distribution due to you from Sunrise Stratford under Section 6.6.3 above.

7.3.3. Written Notice of Termination

Prior to any termination of this Agreement under this Section 7.3.3, Sunrise Stratford will give you notice in writing of the cause of termination. You will have ten (10) days after receiving such notice to correct the problem, except as provided below. If the problem is corrected within such time, this Agreement shall not

then be terminated. If the problem is not corrected within such time, this Agreement will be terminated ninety (90) days after the original notice of termination, and you must leave The Stratford and sell your condominium.

7.3.4. Sale of Unit

Upon termination of this Agreement under this Section 7.3, you must sell your unit to a Qualified Buyer, as set forth in Section 5.1.

7.4. Payment of Refunds

Except as provided in Sections 6.4.4 and 6.5.3 above, all monies to be refunded to you under this Agreement shall be tendered within fourteen (14) calendar days after you make possession of your unit available or within ninety (90) calendar days after cancellation, death, or termination, whichever is later.

7.5. Cancellation and Other Notices

All notices required by this Agreement shall be delivered to:

Sunrise Stratford
c/o The Stratford
601 Laurel Avenue
San Mateo, CA 94401
Attention: Executive Director

and to you at your residence at The Stratford, or to your legal representative at the address that your legal representative provides for such purposes. All such notices shall be effective when personally delivered or when deposited in the mail properly addressed with postage prepaid.

8. PROVISIONS WITH RESPECT TO YOUR RESIDENCE

8.1. Your Housekeeping Responsibilities

You agree to keep your residence in a hygienic, safe, clean and orderly condition, as determined by Sunrise Stratford in its sole discretion, and to perform day-to-day light housekeeping tasks or to ensure that they are performed on your behalf.

8.2. Occupancy by Additional Persons

At no time will any person be allowed to occupy your unit or stay overnight in it in your absence. Except as provided below, no person may occupy your unit or stay overnight in it while you are present without the express prior written approval of Sunrise Stratford. If it approves the application, Sunrise Stratford will charge the then-current Additional Resident Monthly Fee for the new resident. If such additional person does not meet the requirements for residency, he or she will not be permitted to occupy the residence except in accordance with then-current visitor policies or with the express written approval of Sunrise Stratford.

8.3. Special Duty Personnel

You may contract with additional individuals, such as health care aides, to provide services to you; however, all such special duty personnel must comply with The Stratford's policies and procedures, including its special duty personnel policy and its standards of performance. Sunrise Stratford reserves the right to restrict access to any special duty personnel if they disturb other residents or the staff or pose a threat to the health or safety of you, other residents, or staff.

8.4. Pets

You may maintain one (1) pet in your unit if it meets The Stratford's standards regarding acceptability (including size and behavior), if you agree to comply with Sunrise Stratford's Pet Policy, and if you receive express approval from Sunrise Stratford for the particular pet. Approval may be conditioned on payment by you of a pet cleaning deposit and a monthly pet cleaning surcharge, and upon maintenance by you of a liability policy covering injuries or damage that may be caused by or attributable to the pet. Pets that do not have the express approval of Sunrise Stratford (including those brought to The Stratford on temporary visits) are not permitted on the premises or

in your unit. In addition, you will be expected to comply with any other policies of The Stratford concerning pets. At no time will pets be allowed to interfere with The Stratford's operations, with the health or safety of residents, visitors, or staff, or with their peaceful enjoyment of the premises.

8.5. Changes by Sunrise Stratford

Sunrise Stratford may make changes in your residence at any time to meet legal requirements or community needs.

8.6. Damage to Residence

In the event that all or a part of The Stratford is destroyed or damaged by fire or other loss, the rules governing repair and restoration are set forth in Article 13 of the Restated Declaration of Covenants, Conditions and Restrictions. If, during any period of repair and restoration, your residence is not suitable for occupancy, Sunrise Stratford shall, to the extent reasonably possible, furnish reasonably comparable substitute quarters.

8.7. Furnishings

You are free to furnish your unit as you wish, provided that you comply with The Stratford's safety standards and with all restrictions set forth in the Restated Declaration of Covenants, Conditions and Restrictions and the Resident's Manual and provide proof of insurance coverage that satisfies The Stratford's standards. At your request, Sunrise Stratford will provide you with basic furnishings at an extra charge.

8.8. Maintenance and Alterations

As set forth in the Restated Declaration of Covenants, Conditions and Restrictions, you are required to maintain your residential unit in a first-class condition, and to make such repairs and replacements to it at your own expense as may be necessary. Before making any repairs, replacement, or improvements, you must obtain

the express prior written consent of Sunrise Stratford. Sunrise Stratford may condition its consent upon your prior agreement in writing that such work shall be performed by it, or under its direction, and that upon termination of your occupancy of the residence for any reason, Sunrise Stratford may require you at your expense (or the expense of your estate) to remove all or part of such additions or improvements and to restore all or part of the residence to its condition prior to the alteration, addition, or improvement. All work to be performed by or for you pursuant to these provisions shall be performed diligently and in a first class, workmanlike manner, and you shall bear the cost of labor, materials, and related incidental charges. All outside contractors must obtain the express approval of Sunrise Stratford after showing proof of appropriate current licensure and of insurance acceptable to it and after agreeing to comply with its outside contractor policy. Any alteration, addition, or improvement shall meet all applicable legal, building, and licensing standards and shall receive all applicable governmental permits. Upon completion, you must allow Sunrise Stratford, as well as any governmental agency with proper jurisdiction, to undertake a compliance inspection.

8.9. <u>Right of Entry</u>

Sunrise Stratford and its agents shall have the right at any reasonable time to enter into your residence so long as it does not unreasonably interfere with your privacy and reasonable use of the residence, for the purposes of performing services and making any necessary repairs, observing the condition of the residence, inspecting alterations or additions to any portion of the residence, complying with laws, protecting the residence, or for any other lawful purpose. This shall include, if you have given notice of termination pursuant to Section 7, the display of your residence to prospective residents. Sunrise Stratford shall have the right to enter your residence at any time for the purpose of responding to emergencies or providing care and supervision. In

addition, because your unit is part of a Continuing Care Retirement Community that is licensed as a Residential Care Facility for the Elderly, the California Department of Social Services may enter and inspect your unit at any time without advance notice, as necessary to enforce applicable laws. At the time of any such visit, you may require the Department representative to provide proper identification and to state the purpose of the visit.

8.10. <u>No Outside Security Interest</u>

Your condominium may not be mortgaged, pledged, or assigned by you as security for any obligation or subjected to any security interest, except in the case of any deed of trust executed in favor of The Laurel Avenue Trust under Section 7.3.2 above or any deed of trust executed in favor of Sunrise Stratford as a condition to remaining in The Stratford.

8.11. <u>Maintenance of Valuables</u>

Sunrise Stratford will endeavor to maintain a secure environment at The Stratford. However, it is also your responsibility to take reasonable steps to protect your valuables, including keeping your front door locked. If your residential unit has a wall safe, you will be required to use it for storage of your valuables. If your residential unit does not have a wall safe, you may purchase one at cost from Sunrise Stratford.

8.12. <u>Property Insurance</u>

The Homeowners' Association will maintain, or have Sunrise Stratford maintain on its behalf, during the term of this Agreement, a policy or policies of insurance covering the building at The Stratford, as set forth in the Restated Declaration of Covenants, Conditions and Restrictions. The cost of this insurance is included as a component of your Monthly Fee. **YOU ARE RESPONSIBLE FOR MAINTAINING INSURANCE COVERING YOUR PERSONAL PROPERTY AND PROTECTING**

AGAINST LIABILITY FOR BODILY INJURY OR FOR PROPERTY DAMAGE TO YOURSELF OR TO OTHERS THAT MAY BE IMPOSED UPON YOU. You must provide Sunrise Stratford with annual proof of property insurance and include Sunrise Stratford as an additional insured on any such policy or policies.

9. SPECIAL OWNERSHIP RULES

It is ordinarily expected that residents will own the condominium units that they occupy. However, Sunrise Stratford may waive this requirement in circumstances where it deems it appropriate, either at the time that the resident enters The Stratford or subsequently. In that case, both the owner and resident will be required to sign this Continuing Care Residence Agreement and to comply with the terms applicable to ownership and residency respectively. In particular, the following requirements shall apply:

- The owner and the resident shall be jointly and severally liable for paying all Monthly Fees and other charges under this Continuing Care Residence Agreement.
- The owner shall have no right to reside in the condominium unit at The Stratford, use The Stratford's facilities, or receive care and services at The Stratford by virtue of his or her ownership, but shall be limited to receiving the portion of the sales proceeds due under this Continuing Care Residence Agreement upon the sale of the condominium unit.
- The owner shall not sell or transfer the condominium unit or terminate this Continuing Care Residence Agreement without the express prior written consent of both the resident and Sunrise Stratford.

10. RESPECTIVE RIGHTS OF PARTIES

10.1. Admissions and Terminations

Sunrise Stratford shall have sole authority regarding the admission and termination of residents. Residents shall not have the right to object to admissions, terms of admission, or termination of other residents.

10.2. Other Agreements

You understand that Sunrise Stratford may enter into Continuing Care Residence Agreements with other persons which may contain terms different from those contained in this Agreement. Despite any such different terms, you understand and agree that this Agreement alone sets forth your rights and obligations with respect to Sunrise Stratford, and that you are not a third-party beneficiary of any other Agreement.

10.3. Performance of Services by Third Parties

You acknowledge and accept that some services and functions to be performed by Sunrise Stratford may be performed by third parties under contract with Sunrise Stratford.

10.4. Residents' Manual

Sunrise Stratford may adopt reasonable written policies, rules, and regulations, which will be set forth in the Residents' Manual, for the purpose of ensuring the proper operation of The Stratford. The Residents' Manual, and any amendments, changes, or additions which Sunrise Stratford may make in its sole discretion, are incorporated in this Agreement as Appendix J and shall be binding upon you as if fully set forth in this Agreement, provided that the provisions of the Residents' Manual will in no way conflict with any of the terms of this Agreement.

10.5. Family Council

Residents' family members and representatives have the right to form a Family Council composed of residents' family members, friends, representatives, and

agents. When requested, The Stratford will make its facilities available to relatives, friends, representatives, and agents of residents who wish to form or participate in a Family Council. The Residents' Manual contains more information regarding the formation and function of a Family Council.

10.6. Lease of Residence

You may not lease your unit to a lessee except as permitted in the Restated Declaration of Covenants, Conditions and Restrictions.

10.7. Residents' Interest

Your rights under this Continuing Care Residence Agreement are limited to those that are expressly granted in it, and do not include any property, proprietary, or managerial interest in Sunrise Stratford or SSLLLC.

10.8. Non-Retaliation

You will not be subject to discrimination or retaliation of any kind for contacting the California Department of Social Services, any other state, county, or city agency, or any elected or appointed government official to file a complaint or for any other reason, or for participating in a resident's coalition.

10.9. Non-Discrimination

Sunrise Stratford manages and operates The Stratford on a non-discriminatory basis and affords equal treatment and access to services to eligible persons regardless race, color, creed, national origin, sex, religion, handicap, marital status, registered domestic partner status, ancestry, actual or perceived sexual orientation, or actual or perceived gender identity. Sunrise Stratford does not discriminate and does not permit discrimination, including, but not limited to, bullying, abuse, or harassment, on the basis of actual or perceived sexual orientation, gender identity, gender expression, or HIV status. Equally, Sunrise Stratford does not

discriminate or permit discrimination on the basis of association with another individual due to the other individual's actual or perceived sexual orientation, gender identity, gender expression, or HIV status. You may file a complaint with the Office of the State Long-Term Care Ombudsman if you believe that you have experienced this kind of discrimination.

10.10. Statement of Residents' Rights

Attached to this Agreement as Appendix H is a document entitled "Statement of Residents' Rights," listing the rights that you enjoy under California law as the resident of a Continuing Care Retirement Community.

11. RESIDENTS' AFFAIRS AND EFFECTS

11.1. Possible Removal of Furnishings

Sunrise Stratford reserves the right to require removal, repair, or relocation of any of your furniture, furnishings, or effects that Sunrise Stratford believes to be dangerous to you or to other residents or staff of The Stratford.

11.2. Application for Conservatorship

In the event you become unable to handle your personal or financial affairs and do not have a duly authorized representative, you authorize Sunrise Stratford to apply to a court of competent jurisdiction for the appointment of a conservator of your person and estate. All fees and costs incurred by Sunrise Stratford in connection with the appointment shall be paid by you.

11.3. Will and Durable Power of Attorney

Sunrise Stratford requires that, prior to taking occupancy, you make provision by means of a will, trust, or other instrument for the final disposition upon your death of your unit, furniture, and other possessions and for payment of final expenses, unless you are able to demonstrate good cause to Sunrise Stratford for not executing these documents. Sunrise Stratford also requires that, prior to occupying your

residential unit at The Stratford, you execute durable powers of attorney for financial transactions and advance health care directives, unless you are able to demonstrate good cause to Sunrise Stratford for not executing these documents. Forms of these documents are available to you in The Stratford office, and copies of such documents must be provided to Sunrise Stratford upon closing. In the event that you change any document during your residency at The Stratford, you must supply copies of the updated versions to Sunrise Stratford.

11.4. Relocation of Personal Property

In the event that you permanently cease to occupy your residential unit or items must be removed in accordance with Section 11.1, you or your legal representative shall pay the expenses of relocating your personal property. Sunrise Stratford shall use ordinary care in safeguarding your property, and shall have the right to remove and store property at your expense until it is removed by you or your legal representative. In the event that it determines that such property has been permanently abandoned, Sunrise Stratford may dispose of it in any manner that it deems appropriate.

12. MISCELLANEOUS

12.1. Interruption of Services

Interruption of services or failure to maintain services provided in this Agreement shall not constitute a breach of this Agreement if it results from causes beyond the reasonable control of Sunrise Stratford, including, but not limited to, strikes, lockouts, or other labor disturbances, government orders, embargoes, shortages of labor or materials, or inclement weather, fire, flood, earthquake, other casualty, or conduct of residents. Sunrise Stratford shall, in any such event, use its best efforts to sustain or restore services or provide substitute services.

12.2. Termination as Continuing Care Retirement Community

Under California law, a continuing care retirement community is required to follow certain procedures in the event that its certificate of authority or license to operate as such is terminated or forfeited. A summary of those procedures is included as Appendix M to this Agreement. They do not apply to a decision to cease operating as a CCRC and to close The Stratford due to a natural disaster or other event out of Sunrise Stratford's control.

12.3. Amendment of Agreement

This Agreement may be amended only by a written agreement signed by an authorized representative of Sunrise Stratford and SSLLLC, and by you (or your legal representative).

12.4. Severability

If a court declares any provision of this Agreement to be invalid, such finding shall not affect the validity of the remaining provisions of this Agreement and the Agreement shall otherwise remain in full force and effect, unless the declaration of invalidity has a material effect on the rights or duties of any party.

12.5. Liability for Injury or Damage

You agree to reimburse Sunrise Stratford for any loss or damage to the common areas of The Stratford as the result of carelessness or negligence by you or any pet, or by any person on the premises by your invitation or with your permission, including, but not limited to, family members, guests, employees, caregivers, attendants, vendor representatives, and delivery persons.

12.6. Waiver of Breach

The failure of Sunrise Stratford in any instance or instances to insist upon your strict performance or observance of, or compliance with any of the terms or provisions of this Agreement, shall not be construed to be a waiver or relinquishment of

its right to insist upon your strict compliance with all of the terms and provisions of this Agreement.

12.7. Third Party Liability

If you are injured as the result of an act or omission of a third party, you hereby grant Sunrise Stratford a lien on any judgment, settlement, or recovery for any expense that (1) is incurred by Sunrise Stratford in caring for you as the result of such injury; and (2) is not reimbursed directly to Sunrise Stratford by you or another source. You shall cooperate in the diligent prosecution of any claim or action against the third party.

12.8. No Limitation of Liability

Nothing in this Agreement limits either the obligation of Sunrise Stratford to provide adequate care and supervision for you or any liability on the part of Sunrise Stratford that may result from its failure to provide this care and supervision.

12.9. Historic Schedule of Monthly Fees

Attached to this Agreement as Appendix K is an historic schedule of monthly fees charged at The Stratford during the past five (5) years.

12.10. Financial Statements

Attached to this Agreement as Appendix L are current audited financial statements of Sunrise Stratford.

13. ARBITRATION

13.1. Agreement to Arbitrate

We encourage informal resolution of disputes and recommend that you approach us about any dispute you may have with us at The Stratford. If informal resolution of a dispute is not possible, arbitration provides a mechanism for the parties to resolve disputes in a timely fashion, in a non-public setting, and in a manner than minimizes legal costs. Therefore, by signing this arbitration provision, and in

consideration of the parties' mutual agreement to arbitrate, the parties agree that if informal resolution is not possible, any and all claims or disputes arising from or related to this Agreement or to your rights, obligations, care, or services at The Stratford shall be resolved by submission to neutral, binding arbitration in accordance with the Federal Arbitration Act. This agreement to arbitrate applies regardless of whether the claim is made against us, you, or any other individual or entity, and it includes, without limitation, personal injury and wrongful death claims. If the Federal Arbitration Act does not permit arbitration in accordance with this arbitration provision, then the matter shall be arbitrated in accordance with State law.

13.2. Claims Not Subject to Arbitration

Any claim or dispute involving unlawful detainer proceedings (eviction), any claims that can be brought in small claims court, and any issues that cannot be arbitrated as a matter of law, shall not be subject to arbitration. In addition, to the extent required by law, claims involving your rights and obligations as a tenant, if any, shall not be subject to arbitration, consistent with California Civil Code Section 1953(a)(4).

13.3. Claims Subject to Arbitration

Unless excluded under Section 13.2, all claims relating to this Agreement or to your rights or obligations at The Stratford, including but not limited to claims involving the provision of care or services, shall be subject to arbitration. The parties agree that an arbitrator will decide any question about whether a claim or dispute must be arbitrated under this arbitration provision.

13.4. Voluntary Waiver of Rights

By agreeing to arbitration under this arbitration provision, the parties give up their constitutional right to have any such dispute decided in a court of law before a judge or jury, and instead accept the use of arbitration. The parties

further waive their right to bring and/or participate as a member of any class or collective action, in any litigation or arbitration proceeding with respect to any such dispute.

13.5. Withdrawal

You may withdraw your agreement to arbitrate within thirty (30) days after signing this arbitration provision by giving written notice of your withdrawal to us. If you decide to withdraw your agreement to arbitrate, you understand and agree that any claim that accrued prior to your withdrawal of the agreement to arbitrate, including any claim for consequent injuries or damages, shall be subject to and governed by the agreement to arbitrate that was in place at the time the claim arose.

13.6. Right to File Complaints

Nothing in this arbitration provision shall limit or restrict your right to file a complaint or grievance with or otherwise contact the Department of Social Services or the long-term care ombudsman.

13.7. Arbitration Administration, Procedures, and Costs

The arbitration shall be administered by the Judicial Arbitration and Mediation Services ("JAMS") and shall be conducted in San Mateo County, California by a single neutral arbitrator selected by JAMS, unless otherwise mutually agreed. In reaching a decision, the arbitrator shall prepare a written decision that includes findings of fact, the reasons underlying the decision, and conclusions of law. If JAMS is unable to administer the arbitration in accordance with the terms of this arbitration provision, the parties shall select another arbitration administrator that is able to do so. If no such arbitration administrator is available, the parties shall select an arbitrator in accordance

with the Federal Arbitration Act. Each party shall bear all costs and fees that it incurs in connection with the arbitration, unless otherwise provided by law.

13.8. Nondisclosure

Neither party shall disclose the existence, content, or results of the arbitration without the prior written consent of the other party, unless disclosure is required by court order.

13.9. Survival and Severability

After termination of this Agreement, this arbitration provision shall remain in effect for the resolution of all claims and disputes that are unresolved as of that date. In the event that any part of this arbitration provision is determined to be unenforceable, the remaining portions of the arbitration provision shall remain valid and shall be enforced by the parties.

13.10. Acknowledgment; Signatures

By signing below, the parties warrant that they understand the significance of this arbitration provision and voluntarily agree to be bound by it. You further acknowledge that agreeing to arbitration is not a condition of admission to The Stratford.

_____	_____
Resident	Resident
Date: _____	Date: _____
SUNRISE STRATFORD, LP	SUNRISE SENIOR LIVING, LLC
By: SUNRISE STRATFORD GP, LLC, its general partner	By:_____
By:_____	Title:_____
Title:_____	

14. RESIDENT REPRESENTATIONS

By executing this Agreement, you represent and warrant, among other things, that (1) you meet the health criteria for admission to The Stratford and are able to live in a unit at The Stratford; (2) you have assets and income which are sufficient under foreseeable circumstances to meet your ordinary and customary living expenses after assuming occupancy; and (3) that all representations made with respect to such matters by you or on your behalf to Sunrise Stratford in the application forms or elsewhere are true. It is understood and agreed that your application forms and statements of financial condition and health history, previously submitted to Sunrise Stratford, are a part of this Agreement and any material misrepresentation or omission made by you in connection with these documents shall render this Agreement voidable at the option of Sunrise Stratford.

15. RECEIPT OF DOCUMENTS

You certify that you have received a printed copy of this Agreement, together with Appendices A through O. You also have received printed copies of your Residential Purchase Agreement and the accompanying Continuing Care Addendum; the Restated Declaration of Covenants, Conditions and Restrictions; and the Easement Declaration.

Executed at _____, California this_____ day of _____.

IF THE CONDOMINIUM IS BEING PURCHASED FROM SUNRISE STRATFORD, THE RESIDENT OR TRANSFEROR MAY CANCEL THIS TRANSACTION WITHOUT CAUSE AT ANY TIME WITHIN NINETY (90) DAYS FROM THE DATE THE RESIDENT FIRST OCCUPIES THE LIVING UNIT. SEE THE ATTACHED "NOTICE OF CANCELLATION" FORM (APPENDIX I) FOR AN EXPLANATION OF THIS RIGHT.

_____	_____
Resident	Transferor (if other than Resident)
	Typed Name:_____
_____	Address:_____
Resident	

SUNRISE STRATFORD, LP

By: SUNRISE STRATFORD GP, LLC, its general partner

By:_____

Title:_____

SUNRISE SENIOR LIVING, LLC

By:_____

Title:_____

NOTICE: THIS IS A CONTINUING CARE CONTRACT AS DEFINED BY PARAGRAPH (8) OF SUBDIVISION (C), OR SUBDIVISION (L) OF SECTION 1771 OF THE CALIFORNIA HEALTH AND SAFETY CODE. THIS CONTINUING CARE CONTRACT FORM HAS BEEN APPROVED BY THE STATE DEPARTMENT OF SOCIAL SERVICES AS REQUIRED BY SUBDIVISION B OF SECTION 1787 OF THE CALIFORNIA HEALTH AND SAFETY CODE. THE BASIS FOR THIS APPROVAL WAS A DETERMINATION THAT SUNRISE STRATFORD AND SSLLLC HAVE SUBMITTED A CONTRACT THAT COMPLIES WITH THE MINIMUM STATUTORY REQUIREMENTS APPLICABLE TO CONTINUING CARE CONTRACTS. THE DEPARTMENT DOES NOT APPROVE OR DISAPPROVE ANY OF THE FINANCIAL OR HEALTH CARE COVERAGE PROVISIONS IN THIS CONTRACT. APPROVAL BY THE DEPARTMENT IS NOT A GUARANTEE OF PERFORMANCE, OR AN ENDORSEMENT OF ANY CONTINUING CARE CONTRACT PROVISIONS. PROSPECTIVE TRANSFERORS AND RESIDENTS ARE ENCOURAGED TO CAREFULLY CONSIDER THE BENEFITS AND RISKS OF THIS CONTINUING CARE CONTRACT AND TO SEEK FINANCIAL AND LEGAL ADVICE BEFORE SIGNING.

APPENDIX A

SERVICES INCLUDED IN MONTHLY FEE

1. Meals

- Meals, as specified in the Residents' Manual. Presently, dinner is served in the dining room on a daily basis. Breakfast and lunch are served on a daily basis for those residents on assisted living status who require assistance with meals as a part of their care plan.
- Special diets, when prescribed by a physician or authorized by the Director of Health Services.
- Tray service to your unit is available when authorized by the Director of Health Services in his or her sole discretion during a temporary illness.

2. Housekeeping Services

- Weekly regular housekeeping services, including vacuuming and dusting.

3. Flat Linen Services

- One (1) set of flat linens (both bedroom and bathroom) furnished on a weekly basis, provided you choose to use The Stratford's linens.

4. Activity Program

- Social, cultural, and recreational activities for those who wish to participate.

5. Scheduled Transportation to Medical Appointments

- Scheduled transportation to medical appointments in a vehicle designated by The Stratford to local destinations during hours and in accordance with procedures established by Sunrise Stratford, subject to the availability of a vehicle and a qualified driver.

6. Recreational Facilities

- Use of all recreational facilities at The Stratford.

7. Common Utilities

- Water, gas, recycling, sewage, and garbage services.

8. Maintenance

- Maintenance of common areas in buildings and grounds.

9. Health Care Program

- Certain aspects of the health care program, as described in Section 3.

APPENDIX B

OPTIONAL SERVICES

The following optional services presently are available at The Stratford at the prices indicated. Sunrise Stratford reserves the right to add or remove services from this list and to change the prices upon thirty (30) days' advance written notice.

1. Extra Meals, Catering, and Guest Meals
   - Extra meals
   - Catering
   - Guest meals
2. Parking (as available) – $_____ per space per month
3. Storage Space (as available) – $_____ per space per month
4. Private Transportation
5. Cable Television Services – $_____ per month
6. Guest Suites – $_____ per night
7. Optional Assisted Living Services
8. Clinical Assistance – $_____ per hour
9. Additional Maintenance of Residential Unit – $_____ per hour
10. Additional Housekeeping Services – $_____ per hour

APPENDIX C

CALIFORNIA RESIDENTIAL PURCHASE AGREEMENT
AND
JOINT ESCROW INSTRUCTIONS

(See C.A.R. Form RPA-CA)

CONTINUING CARE ADDENDUM
TO
CALIFORNIA RESIDENTIAL PURCHASE AGREEMENT
AND
JOINT ESCROW INSTRUCTIONS

(Sale by Resident)

This Continuing Care Addendum ("Addendum") is made to supplement and amend the California Residential Purchase Agreement and Joint Escrow Instructions (CAR Form RPA-CA) (the "CAR Form") dated _____ between _____ ("Seller") and _____ ("Buyer") for the purchase of a condominium unit #___ (the "Property") at The Stratford.

RECITALS

The Stratford is a common interest development located at 601 Laurel Avenue, San Mateo, California consisting of condominium units owned individually by residents, certain appurtenant common areas owned in undivided interests by all residents, and certain service easements owned by Sunrise Stratford, LP ("Sunrise Stratford"). The Stratford is also licensed as a continuing care retirement community ("CCRC") and a residential care facility for the elderly ("RCFE") under California law, giving it the right and obligation to provide residents with services and care in accordance with such law. As holder of a CCRC certificate of authority and a RCFE license together with related legal entities, Sunrise Stratford provides such services and care to residents of The Stratford in an environment designed to enhance their independence, while meeting their physical and social needs. In the event of a conflict, California CCRC or RCFE laws have precedence over the statutes, regulations, or other authorities of the California Department of Real Estate.

Seller intends to sell, and Buyer intends to purchase, the Property pursuant to the terms set forth in the CAR Form. In addition, Buyer will submit an application to Sunrise Stratford to be accepted as a resident at The Stratford under the admission standards. Sunrise Stratford is prepared to determine on the basis of the application whether Buyer meets the criteria for residency at The Stratford and, if Buyer does meet the criteria, to accept Buyer for residency. If accepted, Buyer is prepared to execute a Continuing Care Residence Agreement ("Continuing Care Residence Agreement") with Sunrise Stratford and any related entity. The Continuing Care Residence Agreement will set forth Buyer's legal rights and obligations as a resident of The Stratford and will describe the services to be provided to Buyer at The Stratford. Buyer also is prepared to become a member of The Stratford of San Mateo Homeowners' Association (the "Homeowners' Association"), which will have certain limited responsibilities with respect to The Stratford. In addition, Buyer will be bound by a Restated Declaration of Covenants, Conditions and Restrictions Establishing a Plan of Condominium Ownership for The Stratford ("CC&R's"), which will run with The Stratford and the Property.

The capitalized terms in this Addendum shall have the meaning ascribed to such terms in the CAR Form unless separately defined in this Addendum, in which case they shall have the meaning given to them in this Addendum. All references to the "Agreement" shall mean the CAR Form, as supplemented and modified by this Addendum, and all exhibits referenced in both documents. If any portion of the CAR Form should conflict with the terms of this Addendum, the terms of this Addendum shall control. All recitals and exhibits referred to in the CAR Form are incorporated by reference and shall be deemed part of this Addendum.

AGREEMENTS

Qualification of Buyer. Buyer understands that Buyer's and Seller's obligations under the Agreement are contingent upon Buyer's qualification for residency at The Stratford, as determined by Sunrise Stratford in its sole discretion. Buyer agrees to submit to Sunrise Stratford, within fifteen (15) calendar days after the latest acceptance date of the Agreement, all information and applications requested by Sunrise Stratford, including personal, financial, and medical information. If Buyer qualifies for residency at The Stratford, Buyer shall enter into a Continuing Care Residence Agreement with Sunrise Stratford (including making payment to The Laurel Avenue Trust as set forth in Section 2.c below) at the escrow signing prior to the close of escrow. If Buyer does not qualify for residency at The Stratford within seventeen (17) days after the latest acceptance date of the Agreement, Seller shall have the right to terminate the Agreement. If this occurs, all deposits by Buyer under the CAR Form, together with accrued interest, if any, shall be returned to Buyer and neither party shall have any further rights, duties, or obligations to the other under the Agreement.

Payments.

Total Initial Payment. The Total Initial Payment that Buyer is making to enter The Stratford is _____ dollars ($_____). This consists of the Purchase Price as set forth in Section 2.b, and the payment to The Laurel Avenue Trust as set forth in Section 2.c.

Purchase Price. The Purchase Price for the Property as set forth in the CAR Form is _____ dollars ($_____).

Payment to The Laurel Avenue Trust. Under the Continuing Care Residence Agreement, Buyer is required to pay a further sum equal to eight percent (8%) of the Purchase Price, or _____ dollars ($_____), to The Laurel Avenue Trust. Buyer shall pay this sum, in addition to the balance of the Purchase Price, at the escrow signing prior to the close of escrow.

Transfer Fee. Under Seller's Continuing Care Residence Agreement with Sunrise Stratford, Seller is required to pay a transfer fee to Sunrise Stratford equal to seven percent (7%) of the Purchase Price and fifty percent (50%) of any appreciation in the Property.

Monthly Payment. Buyer's initial monthly payment for residency at The Stratford is _____ dollars ($_____), of which _____ dollars ($_____) represents the monthly fee due to Sunrise

Stratford under the Continuing Care Residence Agreement and _____ dollars ($_____) represents the monthly assessment due to the Homeowners' Association under the CC&R's.

Governing Documents. Sunrise Stratford has provided Buyer with copies of the Continuing Care Residence Agreement, the CC&R's, together with the Articles of Incorporation, Bylaws, and rules and regulations of the Homeowners' Association, The Stratford Residents' Manual, and all other documents pertaining to the Property and to residency at The Stratford, as required by law.

IN WITNESS WHEREOF, the parties have executed this Addendum as of the dates set forth below.

SELLER:	BUYER:
_____	_____
(Signature)	(Signature)
_____	_____
(Printed Name)	(Printed Name)
_____	_____
(Date)	(Date)
_____	_____
(Signature)	(Signature)
_____	_____
(Printed Name)	(Printed Name)
_____	_____
(Date)	(Date)
Signing as (check one): ☐ an individual	Signing as (check one): ☐ an individual
☐ husband and wife ☐ joint tenants	☐ husband and wife ☐ joint tenants
☐ tenants-in-common ☐ trustee	☐ tenants-in-common ☐ trustee
☐ other _____	☐ other _____

APPROVED BY SUNRISE STRATFORD, LP:

_____
(Signature)

_____
(Printed Name)

_____
(Title)

_____
(Date)

APPENDIX D

CALCULATION OF TRANSFER FEE

The Transfer Fee due to Sunrise Stratford under Section 5.4 of the Continuing Care Residence Agreement and Sections 4.2 and 5.2 of the Restated Declaration of Covenants, Conditions and Restrictions for The Stratford upon the sale of a condominium shall be calculated according to the formula set forth in Section 1.38 of the Restated Declaration of Covenants, Conditions and Restrictions for The Stratford, which may be summarized as set forth below (in the event of any conflict between the Declaration and this summary, the Declaration shall prevail).

The Transfer Fee shall be the sum of the following components:

Component 1: Seven percent (7%) of the Seller's Transfer Proceeds. "Transfer Proceeds" means the fair market value of the condominium unit, without reduction for any taxes, real estate commissions, escrow fees, or other closing costs paid by the seller, but before the deduction of the Transfer Fee. In the event of an arm's length sale, the purchase price paid to the Seller by the Qualified Buyer will be deemed to be the fair market value.

Component 2: Fifty percent (50%) of that portion of the Gain on Transfer, if any, that exceeds the figure in Component 1. "Gain on Transfer" means the excess, if any, of the Seller's Transfer Proceeds over the Seller's Condominium Purchase Price. The Seller's "Condominium Purchase Price" is the price that the Seller originally paid for the condominium unit, without reduction for any taxes, real estate commissions, escrow fees, or other closing costs paid by the seller, as part of the Seller's original purchase of the unit.

The following example illustrates the calculation of the Transfer Fee in three hypothetical cases involving a condominium that was originally purchased for $500,000 (the Seller's Condominium Purchase Price) and sells for the amounts indicated (the Seller's Transfer Proceeds).

CASE 1

Assume that the Condominium Purchase Price paid by the Qualified Buyer (and the Seller's Transfer Proceeds) is $800,000. (As a result, the Qualified Buyer's Total Initial Payment is $840,000, with $40,000 going to The Laurel Avenue Trust.)

APPRECIATION:

Seller's Transfer Proceeds	800,000 (A)
Less: Seller's Condominium Purchase Price	(500,000)
Seller's Total Appreciation	300,000 (B)

TRANSFER FEE:

Component 1: 7% of Seller's Transfer Proceeds [(A)]	56,000 (C)
Component 2: 50% of Seller's Adjusted Appreciation [(B) – (C)]	+122,000
Total Transfer Fee	178,000 (D)

SELLER RECEIVES:

Seller's Transfer Proceeds [(A)]	800,000
Less: Transfer Fee [(D)]	(178,000)
Total Received By Seller	622,000

CASE 2

Assume that the Condominium Purchase Price paid by the Qualified Buyer (and the Seller's Transfer Proceeds) is $500,000. (As a result, the Qualified Buyer's Total Initial Payment is $525,000, with $25,000 going to The Laurel Avenue Trust.).

APPRECIATION:

Seller's Transfer Proceeds	500,000 (A)
Less: Seller's Condominium Purchase Price	(500,000)
Seller's Total Appreciation	0 (B)

TRANSFER FEE:

Component 1: 7% of Seller's Transfer Proceeds [(A)]	35,000 (C)
Component 2: 50% of Seller's Adjusted Appreciation [(B) – (C)]	+0
Total Transfer Fee	35,000 (D)

SELLER RECEIVES:

Seller's Transfer Proceeds [(A)]	500,000
Less: Transfer Fee [(D)]	(35,000)
Total Received By Seller	465,000

CASE 3

Assume that the Condominium Purchase Price paid by the Qualified Buyer (and the Seller's Transfer Proceeds) is $300,000. (As a result, the Qualified Buyer's Total Initial Payment is $315,000, with $15,000 going to The Laurel Avenue Trust.)

APPRECIATION:

Seller's Transfer Proceeds	300,000 (A)
Less: Seller's Condominium Purchase Price	(500,000)
Seller's Total Appreciation	0 (B)

TRANSFER FEE:

Component 1: 7% of Seller's Transfer Proceeds [(A)]	21,000 (C)
Component 2: 50% of Seller's Adjusted Appreciation [(B) – (C)]	+0
Total Transfer Fee	21,000 (D)

SELLER RECEIVES:

Seller's Transfer Proceeds [(A)]	300,000
Less: Transfer Fee [(D)]	(21,000)
Total Received By Seller	279,000

APPENDIX E

DISPOSITION OF JOINTLY OWNED CONDOMINIUM INTERESTS

A. Termination by Co-Owner

If your condominium is owned by more than one person, one co-owner cannot transfer a partial interest in your condominium, but may transfer a right to receive a portion of the proceeds from the sale of your condominium. If the co-owner terminates his or her residence, by death or otherwise (the "Terminating Co-Owner"), the co-owner remaining at The Stratford (the "Remaining Co-Owner") shall be entitled to all rights under the Continuing Care Residence Agreement until the Remaining Co-Owner's residence terminates. So long as the Remaining Co-Owner remains in residence, the Terminating Co-Owner or his or her heirs or assigns have no right to residence or services, no right to require sale of the condominium, and no other rights under the Continuing Care Residence Agreement. Upon the termination of the Remaining Co-Owner's residence, the condominium shall be subject to sale to a Qualified Buyer, and a Transfer Fee shall be assessed before distribution of any proceeds to either Co-Owner or his or her respective heirs or assigns.

B. Disposition of Jointly Owned Interests

1. <u>Condominium Title Held as Community Property</u>. If you hold title to your condominium as community property, each of you will be entitled to dispose of your one-half share by will or trust. A beneficiary under a Co-Owner's will or trust, who is not the Remaining Co-Owner, will be entitled only to a portion of the net sales proceeds when the condominium is ultimately sold and will not be entitled to any rights under the Continuing Care Residence Agreement. A beneficiary cannot require a sale of the condominium, unless the beneficiary is the Remaining Co-Owner. A Co-Owner spouse

cannot transfer his or her rights to the sales proceeds during his or her lifetime without the consent of the other Co-Owner spouse.

2. **Condominium Title Held in Joint Tenancy**. If you hold title to your condominium in joint tenancy, when one Co-Owner dies, the Remaining Co-Owner automatically becomes the sole owner of the entire condominium and upon sale of the condominium, the Remaining Co-Owner or his or her heirs or assigns will be entitled to all of the net sales proceeds. If the condominium is sold while both Co-Owners are alive, each Co-Owner is entitled to an equal share of the net sales proceeds. If a terminating Co-Owner transfers his or her interest in the proceeds of any sale to anyone other than the Remaining Co-Owner during his or her lifetime, the transferee is not entitled to any right other than the right to a portion of the net proceeds when the Remaining Co-Owner sells the condominium. The transferee cannot require sale of the condominium.

3. **Condominium Title Held in Tenancy in Common**. If you hold title to your condominium as tenants in common, you can hold unequal interests in the net sales proceeds, in the percentages specified in your Grant Deed. Each Co-Owner is entitled to dispose of his or her share during his or her lifetime, or by will or trust. A transferee, who is not the Remaining Co-Owner, will be entitled only to a portion of the net sales proceeds when the condominium is ultimately sold, and will not be entitled to any rights under the Continuing Care Residence Agreement. A transferee cannot require a sale of the condominium, unless such transferee is also the Remaining Co-Owner.

APPENDIX F

RETENTION LIMITATIONS

The Stratford is licensed under the California laws governing residential care facilities for the elderly. Those laws require us to inform residents in writing at or before the time of admission of any resident retention limitations set by the State or the facility, including any limitations or restrictions on The Stratford's ability to meet residents' needs. Although we hope that you will be able to reside in your unit or, as necessary, in The Laurel Wing for as long as you desire, we may need to transfer you from these settings or discharge you if:

You do not meet the retention requirements established by California statute and by regulations of the California Department of Social Services;

You present an immediate physical threat or danger to yourself or others;

You have active communicable tuberculosis or another similar communicable disease;

You require skilled nursing or intermediate care on a twenty-four (24) hour basis;

You are not elderly and have needs in conflict with other residents or the programs of services offered, or require more care and supervision than other residents;

You have a primary need for care and supervision that results from dementia or a mental disorder resulting in ongoing behavior which would upset the general resident group, or which would require us to provide to you a greater amount of care and supervision than other residents at The Stratford or if you cannot generally benefit from the program of services available at The Stratford;

You are "bedridden" (other than for a temporary illness or for recovery from surgery) as defined by California statute and by regulations of the California Department of Social Services;

You refuse to accept services required in order for us to meet your needs;

You have health care or other needs that cannot be met at The Stratford for reasons such as licensure, design or staffing;

Your personal physician has determined that you require services not available at The Stratford;

Your condition changes so that you are considered a wandering risk or you are unable to respond to verbal instructions in an emergency;

You have stage 3 or stage 4 pressure sores;

You require gastrostomy care;

You have a staph infection or other serious infection;

You depend on others to perform all activities of daily living, as set forth in regulations of the California Department of Social Services; or

You have a tracheostomy.

APPENDIX G

TRANSFER AND REVIEW PROCEDURE

This Transfer and Review Procedure will apply to transfers of residents from their residence for one of the grounds for transfer set forth in Section 6.1 of the Continuing Care Residence Agreement.

All transfer decisions made by Sunrise Stratford will take into consideration the appropriateness and necessity of the transfer and the goal of promoting resident independence.

As set forth below, the Transfer and Review Procedure will involve the resident's "responsible person" at each stage, unless the resident makes a request to the contrary and is determined in writing to have no cognitive impairment. The resident's responsible person means an individual or individuals, including a relative, health care surrogate decision maker or placement agency, that assists the resident in placement or assumes varying degrees of responsibility for the resident's well-being. Where one or more responsible persons is involved, any reference in this Transfer and Review Procedure to participation by the resident in the decision-making process will be taken also as a reference to participation by such individual or individuals.

I. ASSESSMENT

A. Sunrise Stratford will make a formal assessment of the resident's condition. Prior to doing so, Sunrise Stratford will notify the resident and any responsible person in writing of the assessment process. The notice will cover: (1) a description and explanation of the assessment process, which shall include, but not be limited to, an evaluation of the physical and cognitive capabilities of the resident, including that it will be the basis for a level of care decision by Sunrise Stratford; (2) the resident's right to request that the responsible person not be involved in the process if the resident does not have any impairment of cognitive abilities; (3) the resident's right to request involvement of family members and of the resident's physician or other appropriate health professional; and (4) that an assessment tool shall be used in determining the appropriateness of a transfer. Sunrise Stratford will advise the resident of the tool to be used, and give a copy of the completed assessment, including scoring and evaluating criteria, to the resident or the resident's responsible person..

B. Sunrise Stratford will arrange for a meeting involving responsible staff, the resident, and other persons involved by the resident to discuss the assessment process and to obtain information that will form the basis for the assessment and the level of care transfer decision by Sunrise Stratford. The meeting will include an interview of the resident regarding the resident's condition and, if necessary, a private physical examination by a physician retained by Sunrise Stratford, at which the responsible person and the resident's physician or other appropriate health professional may be present with the resident's permission.

C. Following completion of the assessment process, Sunrise Stratford will notify the resident in writing of (1) the results of the assessment (including the use of any assessment tool if the resident requests it); and (2) if a decision has

been made to transfer the resident, a confirmation of the forthcoming first care conference, including date, time, and place, to explain the reasons for the transfer. The notice will also record the resident's decisions concerning the involvement of the responsible person and others in the process.

II. FIRST CARE CONFERENCE

At the first care conference, Sunrise Stratford will explain the reasons for the transfer and discuss them with the resident and others in attendance. Others in attendance will include the responsible person unless the resident has requested that the responsible person not be present. They also will include, upon the resident's or the responsible person's request, the resident's family members and the resident's physician or other appropriate health professional. A written record of the conference will include (1) the time, date and place of the meeting; (2) names of all attendees, including the resident, responsible parties, and requested family and health care professionals; (3) the substance of Sunrise Stratford's transfer decision; and (4) an explanation of the decision based on the results of the assessment.

III. NOTICE OF TRANSFER

Following the first care conference, Sunrise Stratford will notify the resident in writing of its decision regarding the transfer. If a decision has been made to transfer the resident, the notice will include (1) the reasons for the decision; (2) the date that the resident received the notice; (3) the effective date of the transfer (which will be at least thirty (30) calendar days after the date that the resident received the written notice, except where the health or safety of the resident or other residents is in danger or where the transfer is required by the resident's urgent medical needs) unless mutually agreed by resident or responsible party and Sunrise Stratford; (4) the designated level of care or location to which the resident will be transferred; (5) the resident's right to request that the transfer decision be reviewed at a second care conference; (6) the resident's right, if the transfer decision is disputed after the second conference, to have the Continuing Care Contracts Branch of the California Department of Social Services determine if Sunrise Stratford followed the proper transfer process; and (7) the name, address, and telephone number of the Continuing Care Contracts Branch.

IV. SECOND CARE CONFERENCE

A. If the first care conference results in a decision to transfer, the resident may request a second care conference to review and dispute the decision.

B. Prior to the second care conference, Sunrise Stratford will assemble documentation of the resident's medical reports, other documents showing the resident's current mental and physical function, the prognosis, and the expected duration of relevant conditions, if applicable. The documentation shall include an explanation of how the criteria set out in Health and Safety Code Section 1788(a)(10)(A) are met. Sunrise Stratford will make copies of the

documentation available to the resident or the resident's responsible person at least five (5) business days before the conference.

C. At the second care conference, Sunrise Stratford will review the transfer decision with members of its interdisciplinary team, the resident and others in attendance. Others in attendance will include the responsible person unless the resident has requested that the responsible person not be present. They also will include, upon the resident's or the responsible person's request, the resident's family members and the resident's physician or other appropriate health professional. Upon the resident's, the responsible person's, or Sunrise Stratford's request, they also will include the local long-term care ombudsperson.

D. Following the second care conference, Sunrise Stratford will notify the resident in writing of its decision regarding the transfer, including the reasons. It also will notify the resident of the right to have the transfer decision reviewed by the Continuing Care Branch of the California Department of Social Services to determine whether Sunrise Stratford followed the proper procedures and whether the transfer is appropriate and necessary; and will provide the name, address, and telephone number of the Continuing Care Branch.

V. DEPARTMENT REVIEW

In the event that a review of the transfer decision by the Continuing Care Branch of the California Department of Social Services is requested, Sunrise Stratford will furnish all existing documentation to the Branch. After a prompt and timely review, the Branch will determine, in writing, whether Sunrise Stratford complied with the transfer process set forth in this Transfer and Review Procedure and in California law and whether the transfer is appropriate and necessary. The Branch shall provide a description of the steps Sunrise Stratford took and the factors Sunrise Stratford considered in deciding to transfer the resident, including the assessment tool or tools and the scoring and evaluating criteria used by Sunrise Stratford to justify the transfer.

VI. CARE OF RESIDENT

Pending a final decision regarding transfer, Sunrise Stratford will specify any additional care that it believes is necessary in order for the resident to remain at The Stratford. The resident will be responsible for the costs of any such care. In the event of an eventual transfer, Sunrise Stratford will offer sufficient preparation and orientation to the resident to ensure a safe and orderly transfer and to minimize trauma.

APPENDIX H

STATEMENT OF RESIDENTS' RIGHTS

(If more than one person will occupy an accommodation, one form must be signed by each resident)

Sunrise Stratford shall give a copy of this Statement of Residents' Rights to each resident at or before the time the resident signs a Continuing Care Residence Agreement, and at any time when the resident is proposed to be moved to a different level of care within or outside The Stratford.

I. CONTINUING CARE LAWS

Under the continuing care laws, residents of continuing care retirement communities have the following rights [Cal. Health & Safety Code §1771.7]:

A. No resident of a continuing care retirement community shall be deprived of any civil or legal right, benefit, or privilege guaranteed by law, by the California Constitution, or by the United States Constitution solely by reason of status as a resident of a community. In addition, because of the discretely different character of residential living accommodation programs that are a part of continuing care retirement communities, the continuing care contract statute resident rights shall augment Chapter 3.9 (commencing with Section 1599), Sections 73523 and 87572 of Title 22 of the California Code of Regulations, and other applicable state and federal law and regulations.

B. A prospective resident of a continuing care retirement community shall have the right to visit each of the different care levels and to inspect assisted living and skilled nursing home licensing reports including, but not limited to, the most recent inspection reports and findings of complaint investigations covering a period of no less than two years, prior to signing a continuing care contract.

C. All residents in residential living units shall have all of the following rights:

(1) To live in an attractive, safe, and well maintained physical environment.

(2) To live in an environment that enhances personal dignity, maintains independence, and encourages self-determination.

(3) To participate in activities that meet individual physical, intellectual, social, and spiritual needs.

(4) To expect effective channels of communication between residents and staff, and between residents and the administration or provider's governing body.

(5) To receive a clear and complete written contract that establishes the mutual rights and obligations of the resident and the continuing care retirement community.

(6) To manage his or her financial affairs.

(7) To be assured that all donations, contributions, gifts, or purchases of provider-sponsored financial products shall be voluntary, and may not be a condition of acceptance or of ongoing eligibility for services.

(8) To maintain and establish ties to the local community.

(9) To organize and participate freely in the operation of independent resident organizations and associations.

(10) To freely exercise all rights pursuant to Section 1771.7 of the Health and Safety Code, in addition to political rights, without retaliation by the Provider.

II. RESIDENTIAL CARE FACILITY FOR THE ELDERLY STATUTE

Under the licensing statute governing residential care facilities for the elderly, residents have the rights set forth below [Cal. Health & Safety Code §§1569.269 & 1569.318].

A. Residents have the following specific rights:

(1) To be accorded dignity in their personal relationships with staff, residents, and other persons.

(2) To be granted a reasonable level of personal privacy in accommodations, medical treatment, personal care and assistance, visits, communications, telephone conversations, use of the Internet, and meetings of resident and family groups.

(3) To confidential treatment of their records and personal information and to approve their release, except as authorized by law.

(4) To be encouraged and assisted in exercising their rights as citizens and as residents of the facility. Residents shall be free from interference, coercion, discrimination, and retaliation in exercising their rights.

(5) To be accorded safe, healthful, and comfortable accommodations, furnishings, and equipment.

(6) To care, supervision, and services that meet their individual needs and are delivered by staff that are sufficient in numbers, qualifications, and competency to meet their needs.

(7) To be served food of the quality and in the quantity necessary to meet their nutritional needs.

(8) To make choices concerning their daily life in the facility.

(9) To fully participate in planning their care, including the right to attend and participate in meetings or communications regarding the care and services to be provided, and to involve persons of their choice in the planning process. The licensee shall provide necessary information and support to ensure that residents direct the process to the maximum extent possible, and are enabled to make informed decisions and choices.

(10) To be free from neglect, financial exploitation, involuntary seclusion, punishment, humiliation, intimidation, and verbal, mental, physical, or sexual abuse.

(11) To present grievances and recommend changes in policies, procedures, and services to the staff of the facility, the facility's management and governing authority, and to any other person without restraint, coercion, discrimination, reprisal, or other retaliatory actions. The licensee shall take prompt actions to respond to residents' grievances.

(12) To contact the State Department of Social Services, the long-term care ombudsman, or both, regarding grievances against the licensee. The licensee shall post the telephone numbers and addresses for the local offices of the State Department of Social Services and ombudsman program conspicuously in the facility foyer, lobby, residents' activity room, or other location easily accessible to residents.

(13) To be fully informed, as evidenced by the resident's written acknowledgement, prior to or at the time of admission, of all rules governing residents' conduct and responsibilities. All rules established by a licensee shall be reasonable and shall not violate any rights set forth in this chapter or in other applicable laws or regulations.

(14) To receive in the admission agreement a comprehensive description of the method for evaluating residents' service needs and the fee schedule for the items and services provided, and to receive written notice of any rate increases.

(15) To be informed in writing at or before the time of admission of any resident retention limitations set by the state or licensee, including any limitations or restrictions on the licensee's ability to meet residents' needs.

(16) To reasonable accommodation of individual needs and preferences in all aspects of life in the facility, except when the health or safety of the individual or other residents would be endangered.

(17) To reasonable accommodation of resident preferences concerning room and roommate choices.

(18) To written notice of any room changes at least 30 days in advance unless the request for a change is agreed to by the resident, required to fill a vacant bed, or necessary due to an emergency.

(19) To share a room with the resident's spouse, domestic partner, or a person of resident's choice when both spouses, partners, or residents live in the same facility and consent to the arrangement.

(20) To select their own physicians, pharmacies, privately paid personal assistants, hospice agency, and health care providers, in a manner that is consistent with the resident's contract of admission or other rules of the facility, and in accordance with this act.

(21) To have prompt access to review all of their records and to purchase photocopies. Photocopied records shall be promptly provided, not to exceed two business days, at a cost not to exceed the community standard for photocopies.

(22) To be protected from involuntary transfers, discharges, and evictions in violation of state laws and regulations. Facilities shall not involuntarily transfer or evict residents for grounds other than those specifically enumerated under state law or regulations, and shall comply with enumerated eviction and relocation protections for residents. For purposes of this paragraph, "involuntary" means a transfer, discharge, or eviction that is initiated by the licensee, not by the resident.

(23) To move from a facility.

(24) To consent to have relatives and other individuals of the resident's choosing visit during reasonable hours, privately and without prior notice.

(25) To receive written information on the right to establish an advanced health care directive and the licensee's written policies on honoring those directives.

(26) To be encouraged to maintain and develop their fullest potential for independent living through participation in activities that are designed and implemented for this purpose.

(27) To organize and participate in a resident council that is established in accordance with the law.

(28) To protection of their property from theft or loss in accordance.

(29) To manage their financial affairs. A licensee shall not require residents to deposit their personal funds with the licensee. Except

as provided in approved continuing care agreements, a licensee, or a spouse, domestic partner, relative, or employee of a licensee, shall not do any of the following:

(A) Accept appointment as a guardian or conservator of the person or estate of a resident.

(B) Become or act as a representative payee for any payments made to a resident, without the written and documented consent of the resident or the resident's representative.

(C) Serve as an agent for a resident under any general or special power of attorney.

(D) Become or act as a joint tenant on any account with a resident.

(E) Enter into a loan or promissory agreement or otherwise borrow money from a resident without a notarized written agreement outlining the terms of the repayment being given to the resident.

(30) To keep, have access to, and use their own personal possessions, including toilet articles, and to keep and be allowed to spend their own money, unless limited by statute or regulation.

B. A licensed residential care facility for the elderly shall not discriminate against a person seeking admission or a resident based on sex, race, color, religion, national origin, marital status, registered domestic partner status, ancestry, actual or perceived sexual orientation, or actual or perceived gender identity.

C. No provision of a contract of admission, including all documents that a resident or his or her representative is required to sign as part of the contract for, or as a condition of, admission to a residential care facility for the elderly, shall require that a resident waive benefits or rights to which he or she is entitled under this chapter or provided by federal or other state law or regulation.

D. Residents' family members, friends, and representatives have the right to organize and participate in a family council that is established in accordance with the law.

E. Except where indicated as a result of professionally reasonable clinical judgement, it is unlawful for a long-term care facility or facility staff to take any of the following actions wholly or partially on the basis of a person's actual or perceived sexual orientation, gender identity, gender expression, or human immunodeficiency virus (HIV) status:

(1) Deny admission to the facility, transfer or refuse to transfer a resident within the facility or to another facility, or discharge or evict a resident from the facility.

(2) Deny a request by residents to share a room.

(3) Where rooms are assigned by gender, assigning, reassigning, or refusing to assign a room to a transgender resident other than in accordance with the transgender resident's gender identity, unless at the transgender resident's request.

(4) Prohibit a resident from using, or harass a resident who seeks to use or does use, a restroom available to other persons of the same gender identity, regardless of whether the resident is making a gender transition or appears to be gender-nonconforming. Harassment includes, but is not limited to, requiring a resident to show identity documents in order to gain entrance to a restroom available to other persons of the same gender identity.

(5) Willfully and repeatedly fail to use a resident's preferred name or pronouns after being clearly informed of the preferred name or pronouns.

(6) Deny a resident the right to wear or be dressed in clothing, accessories, or cosmetics that are permitted for any other resident.

(7) Restrict a resident's right to associate with other residents or with visitors, including the right to consensual sexual relations, unless the restriction is uniformly applied to all residents in a nondiscriminatory manner. This section does not preclude a facility from banning or restricting sexual relations, as long as the ban or restriction is applied uniformly and in a nondiscriminatory manner.

(8) Deny or restrict medical or nonmedical care that is appropriate to a resident's organs and bodily needs, or provide medical or nonmedical care in a manner that, to a similarly situated reasonable person, unduly demeans the resident's dignity or causes avoidable discomfort.

III. RESIDENTIAL CARE FACILITY FOR THE ELDERLY REGULATIONS

Under the licensing regulations governing residential care facilities for the elderly, residents have the following rights [22 C.C.R. §87468]:

A. To be accorded dignity in your personal relationships with staff, residents and other persons.

B. To be accorded safe, healthful and comfortable accommodations, furnishings, and equipment.

C. To be free from corporal or unusual punishment, humiliation, intimidation, mental abuse, or other actions of a punitive nature, such as withholding of monetary allowances or interfering with daily living functions such as eating or sleeping patterns or elimination.

D. To be informed by Sunrise Stratford of the provisions of law regarding complaints and of procedures to register complaints confidentially, including, but not limited to, the address and telephone number of the complaint receiving unit of the Department of Social Services.

E. To have the freedom of attending religious services or activities of your choice and to have visits from the spiritual advisor of your choice. (Attendance at religious services, in or outside The Stratford, shall be voluntary.)

F. To leave or depart The Stratford at any time and not to be locked in any room, building, or premises at The Stratford by day or night. (This does not prohibit the establishment of rules applicable to The Stratford, such as the locking of doors at night, for the protection of residents; nor does it prohibit, with permission of the Department of Social Services, the barring of windows against intruders.)

G. To visit The Stratford prior to residence, along with your family and responsible persons.

H. To have your family or responsible persons regularly informed by Sunrise Stratford of activities related to your care or services including ongoing evaluations, as appropriate to your needs.

I. To have communications to Sunrise Stratford from your family and responsible persons answered promptly and appropriately.

J. To be informed of The Stratford's policy concerning family visits and other communications with residents as specified in law [Cal. Health & Safety Code §1569.313].

K. To have your visitors, including ombudspersons and advocacy representatives, permitted to visit privately during reasonable hours and without prior notice, provided that the rights of other residents are not infringed upon.

L. To wear your own clothes; to keep your own personal possessions, including your toilet articles; and to keep and be allowed to spend your own money.

M. To have access to individual storage space for private use.

N. To have access to telephones in order to make and receive confidential calls. Sunrise Stratford may require reimbursement from you for long distance calls.

O. To mail and receive unopened correspondence in a prompt manner.

P. To receive or reject medical care or health-related services.

Q. To receive assistance in exercising the right to vote.

R. To move from The Stratford.

S. To be informed of the appropriate licensing agency to contact regarding complaints, which is:

Department of Social Services
Community Care Licensing Office
851 Traeger Avenue, Suite 360, MS 29-02
San Bruno, CA 94066
Tel: (650) 266-8800

T. To be informed of the procedure for reporting known or suspected elder abuse. If you wish to report known or suspected elder abuse, you may contact: (a) The Stratford's Executive Director or any supervisor; and/or (b) the statewide Ombudsman Toll Free 24-hour CRISIS line at (800)231-4024 and/or the local Ombudsman's Office at (650) 349-7008 or (800) 675-8437.

By signing below, you acknowledge that you have received a copy of the personal rights delineated above at the time of your admission:

_____	_____
Resident's Signature	**Date**
_____	
Resident's Printed Name	
_____	_____
Resident's Representative	**Date**
_____	
Printed Name of Resident's Representative	

APPENDIX I

THE STRATFORD

NOTICE OF CANCELLATION

Your first date of occupancy under this contract is: _____.

Since you purchased your condominium from Sunrise Stratford, you may cancel this transaction, without any penalty, within ninety (90) days from the above date.

If you cancel, any property transferred, any payments made by you under the contract of sale, and any negotiable instrument executed by you will be returned within fourteen (14) calendar days after making possession of the living unit available to Sunrise Stratford. Any security interest arising out of the transaction will be canceled.

If you cancel, you are obligated to pay for the reasonable value of the services received by you from Sunrise Stratford up to the date you canceled or made available to Sunrise Stratford the possession of any living unit delivered to you under the Continuing Care Residence Agreement, whichever is later.

If you cancel, you must return possession of your unit to Sunrise Stratford in substantially the same condition as when you took possession.

Possession of the living unit must be made available to Sunrise Stratford within twenty (20) calendar days of your notice of cancellation. If you fail to make the possession of the living unit available to Sunrise Stratford, then you remain liable for performance of all obligations under the Continuing Care Residence Agreement.

To cancel this transaction, mail or deliver a signed and dated copy of this cancellation notice, or any other written notice, or send a telegram to Sunrise Stratford at The Stratford, 601 Laurel Avenue, San Mateo, California 94401 not later than midnight of _____

(Date)

I hereby cancel my Continuing Care Residence Agreement with Sunrise Stratford and SSLLLC at The Stratford.

(Signature)	**(Date)**
(Signature)	**(Date)**

THE STRATFORD

NOTICE OF CANCELLATION

Your first date of occupancy under this contract is: _____.

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Possession of the living unit must be made available to Sunrise Stratford within twenty (20) calendar days of your notice of cancellation. If you fail to make the possession of the living unit available to Sunrise Stratford, then you remain liable for performance of all obligations under the Continuing Care Residence Agreement.

To cancel this transaction, mail or deliver a signed and dated copy of this cancellation notice, or any other written notice, or send a telegram to Sunrise Stratford at The Stratford, 601 Laurel Avenue, San Mateo, California 94401 not later than midnight of _____

(Date)

I hereby cancel my Continuing Care Residence Agreement with Sunrise Stratford and SSLLLC at The Stratford.

_____	_____
(Signature)	**(Date)**
_____	_____
(Signature)	**(Date)**

APPENDIX J

RESIDENTS' MANUAL

APPENDIX K

HISTORIC SCHEDULE OF MONTHLY FEES

as of 1/1/25

	1 BR	2BR	3BR	Penthouse
2020				
2021				
2022				
2023				
2024				
2025				

The figures listed above are averages based on unit type.

APPENDIX L

CURRENT AUDITED FINANCIAL STATEMENT

APPENDIX M

TERMINATION AS CONTINUING CARE RETIREMENT COMMUNITY

Sunrise Stratford will follow the procedures set forth below in the event that its certificate of authority or license to operate The Stratford as a continuing care retirement community ("CCRC") is terminated or forfeited, with the result that it no longer is authorized to provide services to residents under the Continuing Care Residence Agreement (a "Termination"). In that case, residents may remain in their units at The Stratford or move to some other setting in accordance with the options set forth below. The provisions below do not apply to a decision to cease operating as a CCRC and to close The Stratford due to a natural disaster or other event out of Sunrise Stratford's control. They summarize the requirements in California Health & Safety Code §§1793.80 through 1793.83, as they apply to a CCRC condominium community like The Stratford. A copy of that law is available from The Stratford's administrative office.

1. At least 120 days prior to the intended date of any Termination, Sunrise Stratford shall give residents, their designated representatives, and the California Department of Social Services ("DSS") a specific written notice, required by statute, which includes:

a. The proposed date of Termination.

b. A statement that no action will be taken to terminate services under the Continuing Care Residence Agreement until Sunrise Stratford has filed a written termination plan with DSS, the residents and their designated representatives, and the local long-term care ombudsman program. At the time that it gives notice, Sunrise Stratford will cease to enter into any new Continuing Care Residence Agreements with incoming residents.

c. A description of resident rights, including the options ("Resident Options") to: (1) sell the unit at The Stratford and relocate to another CCRC owned or operated by an affiliate of Sunrise Stratford, provided that space is available; (2) sell the unit at The Stratford and relocate to a CCRC not owned or operated by an affiliate of Sunrise Stratford; (3) receive monetary compensation from Sunrise Stratford equal to the value of the remainder of the Continuing Care Residence Agreement (option expires 120 days after resident selects option (2) above); or (4) negotiate another mutually satisfactory resolution with Sunrise Stratford. Accommodations under paragraph (c)(1) or (2) shall be, overall, comparable in cost, size, services, features, and amenities to the unit being vacated and shall include compensation by Sunrise Stratford for the resident's reasonable costs of moving, storage (if applicable), and transportation.

2. At least 90 days prior to Termination, Sunrise Stratford will provide to DSS, the residents of The Stratford, their designated representatives, and the local long-term care ombudsman program, a written closure and relocation plan ("the Plan") containing all of the following information:

a. The number of affected residents at each level of care in The Stratford.

b. An assessment of unique service and care needs, if applicable, for residents receiving special care or assisted living services; for residents requiring assistance with three or more activities of daily living; and for other residents requesting it.

c. An explanation of how comparable care, if applicable, and comparable replacement accommodations, if desired, will be provided.

d. A detailed description of the services Sunrise Stratford will provide to residents who will be relocating to assist them in the process, such as, reasonable costs of moving, storage (if applicable), and transportation arranged in consultation with the resident and his or her designated representative, and paid for directly by Sunrise Stratford.

e. The names and addresses of any other CCRCs operated by an affiliate of Sunrise Stratford and whether there are available openings.

f. The names and addresses of any other CCRCs within 30 miles of The Stratford that provide accommodations and care comparable to that offered at The Stratford, and whether such CCRCs have available openings.

g. A description of how Sunrise Stratford will offer and implement the Resident Options, including (1) a description of any replacement facility and the procedure by which a resident can select a replacement facility; (2) a statement that residents will not be required to pay more than they are paying for comparable accommodations and care at the time of Termination, except for normal rate increases; and (3) a statement that any proposed monetary compensation shall be fair and reasonable and represent the estimated cost to the resident of securing comparable care (for residents who remain at The Stratford) and comparable replacement accommodations and care (for residents who sell their units and leave The Stratford) under terms similar to the Continuing Care Residence Agreement.

h. A statement that Sunrise Stratford will make available, on request and subject to reasonable cost limitations, a licensed medical or geriatric professional to advise the resident, the resident's representative, and Sunrise Stratford regarding the relocation.

3. Within 30 days of submitting the Plan to DSS, Sunrise Stratford shall establish a reserve or trust fund, or secure a performance bond (the "Security"), in an amount sufficient to cover the cost and to ensure the fulfillment of the obligations and commitments associated with implementing the Plan and the Resident Options. The Security shall be funded with qualifying assets approved by DSS and shall not be subject to any liens, judgments, garnishments, or creditor's claims.

4. Sunrise Stratford shall submit monthly progress reports to DSS detailing the progress and problems associated with the Termination, until all residents have settled on their accommodations and all required payments to, or on behalf of, residents are made.

APPENDIX N

TEMPORARY RELOCATION DUE TO RENOVATION

In the event that it must relocate you from your residence at The Stratford for a period of 9 months or more due to a change of use or major repairs or renovations in the common areas, Sunrise Stratford will follow the procedures set forth below. Those procedures summarize requirements in the California continuing care law, copies of which are available from The Stratford's administrative office. They shall not apply in the event of a temporary relocation due to a natural disaster that is out of Sunrise Stratford's control.

A. Notice and Preparation

1. Sunrise Stratford will notify you at least 60 days in advance of the residential temporary relocation (the "Relocation").

2. Sunrise Stratford will meet with you, and at your request, family members or other individuals, at least 30 days in advance of the Relocation to discuss all aspects of the Relocation, including, but not limited to, applicable rights, requirements, and procedures.

3. Sunrise Stratford will provide you written notice of the meeting referenced in paragraph 2, above, at least 7 days in advance of the meeting. The notice will include all of the following:

   a. The date of the Relocation.

   b. The available replacement living accommodations and corresponding monthly fees.

   c. The time when you will be able to inspect the replacement accommodations.

   d. The estimated date when you will be able to return to your residence at The Stratford or move to substitute permanent accommodations.

4. The Relocation will be to available alternate accommodations that provide services, size, features, and amenities most closely comparable to your residence at The Stratford, in either (i) The Stratford, (ii) any continuing care retirement community that Sunrise Senior Living Management, Inc. operates within a 30-mile radius of The Stratford, or (iii) an alternate facility ("Alternate Facility").

5. Sunrise Stratford will arrange and pay for the costs incurred in your move to alternate accommodations, as well as for the costs eventually incurred in moving back to your residence at The Stratford. Sunrise Stratford also will pay any furniture or other storage costs incurred as a result of the Relocation.

6. If the Relocation lasts for 18 months or less, you will continue to pay the Monthly Fee to Sunrise Stratford in accordance with your Membership Agreement (the

"Agreement") or the monthly fee in any Alternate Facility, whichever is less. Sunrise Stratford will make any such payments directly to any Alternate Facility to which you have relocated.

7. Upon your or your representative's request, Sunrise Stratford will make available the services of a licensed medical or geriatric professional to advise you, your representative, and The Stratford regarding the Relocation. Sunrise Stratford may place a reasonable limit on the cost of such services.

8. Sunrise Stratford will identify any unique service and care needs that you have, as they are affected by the Relocation, and Sunrise Stratford will incorporate them into your written plan of care.

B. Return to Residence and Other Options

Sunrise Stratford will notify you at least 60 days in advance of your return to your residence at The Stratford and will give you subsequent notices 30 and 7 days before the return date.

C. Relocations Exceeding 18 Months

1. If the Relocation will exceed 18 months, you will have the right to terminate the Agreement and to choose any of the options available to residents in the event that The Stratford ceases to operate as a continuing care retirement community. These options are set forth in Appendix M.

2. If it determines that the Relocation will exceed 18 months, Sunrise Stratford may extend the Relocation period for up to 6 months if you agree to the extension in writing. The written agreement will state that, by signing, you waive all rights set forth in Appendix M during the extension period.

APPENDIX O

PROVISION CHECKLIST

Date: _____

CCRA Initials Required: _____

Name: _____

Unit #: _____

We have provided you with the Continuing Care Residence Agreement ahead of time in order to allow you to review it and to discuss it with your advisors. It is a complex document, and we want you to be comfortable with it. While all of it is important, we have found that certain provisions are especially worth calling to the attention of prospective residents. Those provisions are listed below, together with a very short indication of their significance. Please note the references and indicate by initialing in the spaces indicated that you have read the provisions and had an opportunity to ask questions and to obtain any further information that you might need regarding them.

Page	Section	Section Title	Significance	Initials	Initials
8	**3.1.2.3**	Home Health Care	Conditions for remaining in your unit		
10	**3.1.3.2**	Residential Unit	Approval of outside care providers		
11	**3.1.3.3**	The Laurel Wing	Availability is not guaranteed		
14	**4.1**	Total Initial	Purchase price plus LAT		
15	**4.1.2**	Payment to the	8% above and beyond purchase price		
16	**4.3.2**	Amount	Monthly Fee		
18	**5.2**	Cont. of Monthly	Fees when unit is unoccupied		
19	**5.5**	Sale Assistance	Exclusive representation for first 3		
23	**6.1.1**	Grounds for	State requirements		
24	**6.4.1**	Monthly Fee	Fees during transfer to higher LOC		
28	**7.1.2**	Purchase from	90-day right of cancellation		
30	**7.3.1.3**	Refusal of Care	“Just cause” for termination		
35	**8.8**	Maintenance/	Requires consent and admin.		

Page	Section	Section Title	Significance	Initials	Initials
35	**8.9**	Right of Entry	Includes unscheduled DSS visits		
37	**8.12**	Property	Proof of Insurance due within 30 days		
Appendix A		Services Included			
Appendix B		Additional Services Available			
Appendix D		Calculation of Transfer Fee			
Appendix J		Residents' Manual			
Appendix K		Historical Schedule of Monthly Fees			
Appendix L		Financial Statements			